HOW COMPANIES MAKE MONEY



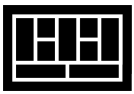
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SUPER GUIDE:

HOW COMPANIES MAKE MONEY

BY DANIEL PEREIRA



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INTRODUCTION

According to a Harvard Business Reviews article, some enlightened companies say that they exist not just to make a profit, but to use profit to achieve a nobler end.

But, in 1970, Milton Friedman, the late Nobel economist, wrote an essay called "The Social Responsibility of Business is to Increase its Profits".

For Friedman, companies profit is the most important engine of economic growth and rising human living standards.

Since Friedmans paper publication, new technologies and consumer behavior changes forced businesses to adapt and recreate themselves. This includes the way they capture value (= make money).

After study and analyze a hundreds of companies for years, I decided to create one big list with examples about how certain companies make money.

That's how this super guide was born. Use it as a reference guide. Read one by one. Whatever way you choose, I hope it helps inspire you to create the new unicorn in your market.

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HOW DOES AMAZON MAKE MONEY?

To understand how Amazon makes money, we need to take a look at each of the different operations that are under this big corporate umbrella. They are:

- **Amazon Marketplace:** The company's first revenue stream, Amazon.com accounts for more than 50% of the income. Basically, Amazon asks for a fee from its sellers to promote and advertise their products;

- **Amazon Prime:** It is Amazon's subscription business model and has been vital to the brand's growth. In exchange for a monthly fee, subscribers have access to the platform's video and music streaming catalog, free two-day shipping, unlimited photo storage, etc. Prime currently has more than 150 million members;

- **Amazon Web Services:** It is a low-cost complete IT structure platform, whose services are contracted by companies, organizations, and institutions around the world. It's not the main source of revenue, but it is certainly the most profitable one;

- **Amazon Kindle:** It is Amazon's e-reading service, where users can buy, browse and download books, magazines, and newspapers, that are available at Kindle Store. Amazon doesn't make much money from Kindle itself, but by attracting traffic to the Prime membership plan. Besides, the platform allows independent authors to publish their info-products and

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e-books, charging something between 30 to 70% of royalty fees from the sales;

- **Amazon Patents:** The company has more than 1,000 patents, several of which are licensed by other companies;
- **Amazon Advertising:** Amazon Ad platform offers sponsored ads and videos. It is a very efficient marketing channel, since the audience that accesses the platform is already there with the intention to buy something.

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HOW DOES UBER MAKE MONEY?

Uber's business model is based on commissioning and this is, therefore, its revenue stream. The total value of each ride includes the driver's payment, fees, taxes, and company commission. In general, the driver gets about 75% to 80% of the value and the rest keeps with Uber.

But the commission can reach around 50% when it comes in the short run, due to the fees and minimum fare. But this is not the company's only source of income. Uber also makes money with promotional partnerships. These are marketing campaigns run through the app and several times through the ride itself (for example, the BMW 7 Series offered free trips in their new car to promote it). In addition, it is worth remembering that Uber has been expanding its service offering.

Probably the most famous one, especially during the period of social isolation on the Covid-19 pandemic, is Uber Eats. It is a food service delivery, with the same characteristic as the transportation app — connecting restaurants to costumers through an online platform, providing the delivery service through partner deliverers. The revenue streams, in this case, are three: advertising, the delivery fee, and the shares in revenue with the restaurants. All of these values and percentages vary depending on the location where the operation takes place.

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HOW DOES NETFLIX MAKE MONEY?

As mentioned, Netflix has a subscription-based Business Model. That means that its main revenue stream is the monthly fees. It has over 180 million subscribers pay, all over the world. There have been many analysts who suggested Netflix could enhance its revenue by using advertisement, but the streaming provider reclined, explaining that this would lower the customer experience, which is its main value proposition, after all. Nowadays, Netflix offers three different plans of membership, which may be upgraded or downgraded at any time. They are:

- **Basic:** For the lowest fee, you have unlimited movies and TV shows, and you can watch the content on any device (laptop, TV, smartphone, tablet ...), but HD is not available, and you can watch only one screen at a time;
- **Standard:** With this plan, you have HD available, and you can have two screens on at the same time;
- **Premium:** The top plan of Netflix offers content in Ultra HD and the possibility to watch four screens at the same time.

All the plans can be canceled anytime, and the cost of the plans changes according to the country, but they are usually very affordable.

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IS NETFLIX PROFITABLE?

For sure, Netflix has a huge cost structure and, at the beginning of the current business model, the company had to invest a lot in order to accomplish the kind of video collection it wanted to offer the customers. So, Netflix hasn't always been a profitable business.

But it is now. In 2018, Netflix generated over 1 billion dollars, and this was 116% bigger than the income in the previous year. The following year, it generated over 1.8 billion dollars, an increase of 154% over 2018. And the expectation is that cash flow will only improve in the coming years, moving to a much more positive result. These days, Netflix's valuation is 155 billion dollars... and counting!

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HOW DOES AIRBNB MAKE MONEY?

The revenue of Airbnb comes from two main sources:

- **Commission from Hosts:** This fee varies from 3 to 5% of the amount charged for the rent. The host can list their properties for free and, with each booking, Airbnb deducts its commission. For hosts offering experiences (events and activities), the commission is 20%;

- **Fees from Guests:** Airbnb charges 0% to 20% of the booking amount as transaction fees. This charge is also made with each reservation and varies according to the courses involved. To end this up, it's worth saying that, considering Uber for short-term rentals, Airbnb is currently a multimillion-dollar company and, while there are several competitors on the market, none are even close to taking its lead.

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HOW DOES TESLA MAKE MONEY?

Certainly, its most important revenue stream was and remains the sale of electric cars, representing more than 80% of its revenue, which is estimated at more than 20 billion dollars. The other 20% of income includes automotive services and vehicle leasing, but also sales of solar energy systems and storage products (about $1.5 billion).

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HOW DOES WHATSAPP MAKE MONEY?

WHATSAPP'S BUSINESS

Yes, when we talked about the business value propositions, an explanation of where WhatsApp's revenue would come from has already begun to be drawn. The functionality here begins by creating business profiles that will become "verified" companies in the app.

This verification allows linking company profiles between WhatsApp and Facebook, with some functional buttons, in addition to configuring automatic responses, linking landline numbers, and integrating WhatsApp Business API. And that is where the revenue streams lie.

WhatsApp Business API allows companies to integrate their systems to contact customers through notifications and messaging. The platform allows sending of messages, appointment reminders, invitations and other interesting means of communication to organizations to be automatically scheduled.

However, WhatsApp charges for slow responses. What does that mean? The messages sent to customers within the first 24 hours of communication are free of charge. However, all messages sent after this period will be charged. And the fees vary from country to country.

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And if you are thinking that this business model is doomed to fail because it is enough for companies to respond within the initial 24 hours, think of the volume of customers that airlines and banks need to respond to every day.

Or even about a promotion that the company wants to launch later... It is worth remembering that this business model doesn't violate the initial rule against ads, because companies cannot contact customers first, just respond to original contacts. That is, the user will be using WhatsApp to communicate with companies and organizations that they want to hear from and not the other way around.

WHATSAPP'S PAYMENT SERVICE

This service, recently launched, introduces a P2P payment option within the app. It is a feature that allows the transfer of values inside the app. In this case, the brand charges a commission for each transaction carried out, in the same way that banks do.

WHATSAPP'S FUTURE REVENUE STREAMS STRATEGIES

But Mark Zuckerberg and company, of course, are not interested in stopping there and are still looking for ways to capitalize on their billions of users. There are also plans that companies can use the status feature (shared for 24 hours) to promote their business. This, again, doesn't injure the app's policy because no user is "obliged" to look at the status, let alone record the contact details of companies on their smartphone. Once again, it's about showing the customer "just what they want to see".

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Finally, it is worth remembering that when we talk about information security, there is always that doubt: is data not the greatest asset of WhatsApp? Anyway, thinking about it is just speculation. Mark Z. guarantees that this data will never be used in favor of targeting customers for Facebook ads. Trust is now in the hands of each of the 2 billion users.

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HOW DOES WALMART MAKE MONEY?

PRODUCT REVENUES

Retail sales encompass almost all of Walmart's revenue and include products distributed under its own brand or other brands, both national and international.

SERVICE REVENUES

There is also a small percentage of Walmart's revenue from services. These services are:

- Financial: Money orders and transfers, check cashing, bill payments, and prepaid cards;
- VUDU Movie Streaming: On-demand streaming service, by subscription, for watching movies and TV shows;
- Clinical: Some preventive and routine health checks, which can be performed without urgent or emergency care;
- Health insurance.

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HOW DOES ETSY MAKE MONEY?

The major revenue streams of Etsy comprise the following:

- **Listing fees:** Etsy charges sellers at least $0.20 for each product they list on the platform. And the listing is valid for four months. If there are multiple quantities of the same item, the listing fee will be automatically renewed after each of the items sells. That's a profitable stream, considering that thousands of products are listed regularly on Etsy;
- **Commissions:** Etsy also charges sellers transaction fees, which are commissions of 3.5% of the total amount for every sale made on the platform. As the payment is processed by Etsy, the company gets its percentage and sends the seller the rest of the money;
- **Advertisements:** Sellers can advertise their items or shops on the platform. The ads are charged on a cost-per-click (CPC) basis;
- **Subscriptions:** All Etsy's users have the Etsy Standard suite of tools to help them manage their shops and products. But the company offers a premium option, Etsy Plus, with some extra tools. The subscription fee is $10 per month;
- **Pattern:** Sellers can build a personalized website to sell their products inside and beyond the platform. But the Pattern shop is free only for the first 30 days. After

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this period, Etsy charges $15 per month;

- **Payment processing:** Some sellers are eligible to use Etsy Payments, which provides different methods to facilitate the purchase, such as credit/debit cards, gift cards, online wallets, and coupons. Etsy charges a fee for each kind of transaction, which varies according to the total amount of the sale and the country it takes place;

- **Currency conversion:** When converting the sale to the seller's chosen currency, Etsy charges a percentage of 2.5% of the entire product amount.

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HOW DOES GOOGLE MAKE MONEY?

More than 80% of Google's 2019 revenue came from ads (Google Ads and YouTube Ads). But the company also has other important businesses and acquisitions, take a look:

ADVERTISING

Google works with something called Performance Advertising. This means that the advertiser only pays when the user takes the action, such as clicking on a link. These links are tracked and the cost per click (CPC) is measured by the average cost per click during the time that a particular ad was shown. In addition, there is also Brand Advertising. In this case, advertisers pay for cost-per-impressions (CPM). This strategy works best when a brand wants to reach a much broader target audience, in order to increase brand visibility. There are five advertising platforms:

- **Google Ads:** It is the old "Adwords". Whenever someone does a search, ads relevant to the search will appear at the top of the page, before the first results. Each time a user clicks on these ads, the advertiser pays a fee to Google. The amount will depend on the CPC;
- **Google Shopping:** In its shopping section, users search, compare and buy products from companies that have paid to advertise their products there;

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- **Google AdSense:** This platform is used whenever websites provide spaces for Google Ads (banners, for example), which will be displayed based on users' searches. Advertisers pay for the chosen space, time, and targeting;

- **Google AdMob:** According to the website itself, "AdMob makes earning revenue easy with in-app ads, actionable insights, and powerful, easy-to-use tools that grow your app business". That is, advertisers can advertise on apps and this helps app developers earn money from their apps;

- **YouTube:** You may have seen that the ads appear before the videos on YouTube and, depending on the length, during the video as well. Advertisers pay to have their ads displayed in these spaces, usually on content related to their product, service, or audience.

GOOGLE PIXEL

It is the smartphone brand of Google. It still does not have a large representation among market players or among Google's revenue streams, but it has been growing. When Google acquired Nest Labs, it merged the acquisition with Google Home. The company develops technology gadgets for homes, such as cameras, doorbells, alarm systems, smoke systems, locks, and thermostats.

YOUTUBE PREMIUM

YouTube Premium is a subscription model that offers ad-free streaming content across YouTube, YouTube Music, and YouTube Gaming.

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GOOGLE CLOUD

It's a suite of cloud computing services that runs on its own infrastructure, providing resources for operating applications on the web. It's a subscription business model, in which companies pay according to the number of resources they use. It represented 5.5% of Google's total revenues.

Finally, it is worth noting that, in addition to these revenue streams, Google has also been investing in other acquisitions, such as Waze, Motorola Mobility, DoubleClick, Looker, Fitbit, and ITA Software. And the company also invests in bets for the future that include Loon, Waymo, Wing, Verily, and Sidewalk Labs, all aimed at technological innovations, in different places on the planet.

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HOW DOES LINKEDIN MAKE MONEY?

According to LinkedIn's User Agreement, its "services are designed to promote economic opportunity for our members by enabling you and millions of other professionals to meet, exchange ideas, learn, and find opportunities or employees, work, and make decisions in a network of trusted relationships".

Some services the network provides in order to make its users achieve all their possibilities are charged. Its Paid Features include: Premium Accounts, Talent Solutions, Marketing Solutions, and Sales Solutions.

The company revenue had a steady growth in the past years. In the fiscal year of 2019, LinkedIn's annual revenue amounted to almost $6.8 billion, up from $5.26 billion during the preceding fiscal period.

Let's take a closer look at each of them.

TALENT SOLUTIONS

These solutions encompass the resources offered to both recruiters/employers – that search for qualified candidates for their available positions — and individuals, who seek improvement through courses and training. For the ones who are selecting professionals, LinkedIn offers a portfolio of solutions, which allow employers to connect to a wide

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network of candidates, also by advertising their available jobs. Furthermore, there's the Recruiter Account, which guarantees:

- Unlimited access to the whole network
- Profile management
- Available jobs management
- Collaboration and productivity resources
- Administrative tools

For the individuals, LinkedIn offers the Learning platform, a premium subscription model, that provides access to more than 15,000 video courses, with instructors from several areas of expertise. These Talent Solutions account for more than 65% of the company's revenue, due to premium resources for both businesses and workers.

MARKETING SOLUTIONS

This second service is about driving advertising campaigns to LinkedIn's audience, composed of its users. Businesses can deliver content to a targeted audience, generate leads, and, after all, measure their ROI (return on investment). Businesses can also develop sponsored content and advertisement, even though InMails, the direct messages that one can send to users they are connected.

SALES SOLUTIONS

These solutions are about creating a professional brand and engaging prospects through the network. The objective is to get sales insights, such as company and job changes or updates. Furthermore, through the Sales Navigator tool, one

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can find prospects, by using specific filters. According to LinkedIn, it's a "powerful way to find and reach more decision-makers".

PREMIUM ACCOUNTS

Premium Career and Premium Professional accounts stand for 17% of LinkedIn's revenue. They are paid subscriptions, which allow users to enhance their searches, get in touch with people out of their personal network, and have premium information access (such as people who have viewed their profiles, video courses, InMail messages, etc.), and many other special features. There are four different plan options, and the fees go from $30 to $100 per month. Most users, however, chose the Basic Account, which is free.

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HOW DOES FACEBOOK MAKE MONEY?

The great revenue stream of Facebook is the targeted advertisement, due to the benefit that the platform offers, of allowing the advertisers to reach their target audience, through information the network collects from its users. And, according to Zuckerberg, that's precisely why it wouldn't make any sense for Facebook to sell its users' data. It would be cutting its own throat, as the platform would be handing over its greatest differential.

Soon, the advertisers wouldn't need Facebook anymore. Facebook's trump card is exactly to permit its advertisers to invest money in the right audience. Within more than 2 billion profiles, the businesses are able to have their products/services viewed only by American 25-30-year-old females, who have a degree and are interested in marriage, for example.

That's the way advertisement became accounting for 97% to 99% of Facebook's revenue. The other 3% or less is made up of payments received by games played and products sold on the platform, private social network services to businesses, and other products offered by each of the brands under its umbrella, such as Oculus, a Virtual Reality device.

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HOW DOES GROUPON MAKE MONEY?

Since Groupon is a multi-sided platform that stands for a middleman promoting businesses, it earns commissions on sales, from the companies they promote. It typically gets 50% of all concluded sales. That usually represents a 75% loss to the merchant (summing up discount and commission). Either way, 97% of merchants ask to feature deals more than once.

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HOW DOES UBER EATS MAKE MONEY?

Uber Eats' business model combines a multisided platform, aggregator, and on-demand business models. As stated previously, it involves three sides: end customers, delivery partners, and restaurant partners. Restaurants list their menus on the app, local customers check the menu and place an order, and an Uber driver/rider picks the order up from the restaurant and hands it to the customer. Uber Eats has four different revenue streams:

- **Commission on orders:** This is probably the main revenue stream, since Uber Eats usually earns a 30% commission from the restaurant partners, on the total cost of every order users make using its platform;
- **Delivery fees:** The delivery partner's fee is divided into three parts: pickup fee, delivery fee, and distance fee (per mile). The sum of these fees will vary, according to locations, distances, and availability of drivers. And Uber Eats will take 25% of the total sum. Besides that, for orders cheaper than $12, Uber Eats will charge a $2 fee, which they call a "small orders fee";
- **Promotions:** Some restaurants and food chains — such as McDonald's — sign special contracts to offer exclusive promotions on the app, in order to get more sales. These brands will, therefore, pay special commissions and fees, according to negotiate the

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deal;

- **Surge pricing:** Uber Eats applies the same dynamic pricing algorithm that Uber does, on surge hours. This “busy fee” is calculated over demand, on the number of orders placed in the same area, at the same time, and the availability of delivery partners.

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HOW MOVIEPASS USED TO (TRY TO) MAKE MONEY?

The idea of MoviePass was to profit from several revenue streams: subscription fees, advertising, user data, and sales by distributors. When Helios & Matheson acquired the company, the focus was on data, which was already their product. That's why MoviePass opted for that inexplicable reduction in plans' price to $9.95: The greater the volume of users, the greater the volume of data for commercialization.

This strong client base would also allow for better agreements with the major chains, increasing the income from concessions, in addition to the possibility of creating their own content — their own studio — which would also share space in the movie theaters of the major players. But, truth be told, MoviePass actually didn't find out how to make money! And, when the new big entrants came into the market, that was the last straw.

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HOW DOES SNAPCHAT MAKE MONEY?

Snapchat is downloaded for free, and all of its features are also free of charge. But the app is designed to drive user engagement and, thus, attract advertisers for Snap Ads and Sponsored Creative Tools. According to Snap, advertisers on Snapchat can reach an audience of 218 million users daily, who spend an average of 30 minutes on the app every day. The cost of ads fluctuates depending on the campaign (on objective and duration, for example). But the advertisers can set a specific budget, with a minimum daily spend requirement of $5. They will all be billed on CPM (cost per thousand impressions), according to the defined campaign strategy.

Virtually all of Snap Inc.'s revenue is generated from the Snapchat business model's advertising. It stands for 98% of the company's $1.7 billion made in 2019. The other 2% comes from Spectacles, physical sunglasses that connect to the Snapchat app and record videos to be shared on the platform.

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HOW DOES WAYFAIR MAKE MONEY?

Wayfair's business model makes money through the so-called drop-shipping. In this business model, the company doesn't need to own any inventory. Instead, it has a wide supplying network, which will ship its products directly to the end consumer.

This way, whenever merchandise is sold on one of Wayfair's websites, the appropriate supplier is notified. Then, it packages the product and ships it directly from its storage place to the customer who's purchased that. Wayfair currently offers more than 18 million items, from over 7,000 suppliers, and doesn't handle 95% of the goods its own websites sell.

It, thus, creates income from commissions it gets, cutting off some percentage over each sale. In addition to that, Wayfair also makes money from advertising. The company charges to promote products and retailers on its website.

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HOW DOES SPACEX MAKE MONEY?

SpaceX has been the first — and, for the time being, only — private company to develop spacecraft for Earth orbit logistics. The first rocket carrying a satellite was launched in 2009. One year later, the company made history by bringing a commercial rocket back to Earth for the first time ever. And, in 2012, SpaceX launched its first commercial spacecraft with the mission of delivering and picking up cargo at the International Space Station.

Since 2017, SpaceX regularly launches private rockets into Earth orbit and, since 2018, it started launching Falcon Heavy, the most powerful operational rocket in the world, with a load of up to 63,800 kilos. SpaceX has already concluded 97 launches, and its valuation is reaching $44 billion. That number includes commercial satellite launches and missions for the United States government.

Its probe, called the Dragon, has also been carrying out several cargo-refueling missions for the space station. However, Dragon was primarily designed to transport people. Then, it will soon also take astronauts from NASA's Commercial Crew Program. SpaceX currently offers launch services for Falcon 9 rockets, with a capacity of 22,800 kg, and Falcon Heavy, just mentioned above.

It can also offer crew transport services to commercial customers that want to take astronauts to alternative destinations. In a near future, SpaceX aims to launch its

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Starship — designed to deliver satellites further and at a lower marginal cost per launch than our current Falcon vehicles, with a payload compartment larger than any fairing currently in operation (a payload of more than 100 tons).

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HOW DOES SOUTHWEST AIRLINES MAKE MONEY?

As already mentioned, Southwest Airlines' revenue streams are based on domestic and international airline services. Its revenue is divided in:

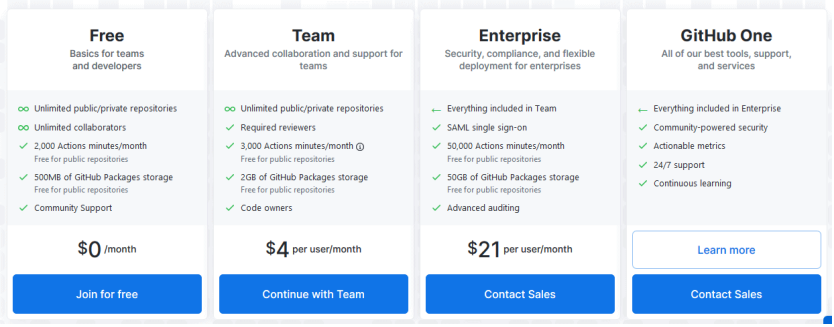
- Passenger Revenue, from the sale of domestic and international passenger airfares;
- Freight Revenue, from shipping and cargo services;
- Other Revenue, from the sale of and provisions of extra services, such as early check-in and in-flight sales.

It's important to highlight that this "Other revenue" doesn't include some fees that are common for their competitors, such as bag fees, simple onboard snacks (like peanuts and crackers), seat classes, and premium seating (the company doesn't offer this kind of seat assignments).

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HOW DOES GITHUB MAKE MONEY?

As mentioned above, while public code repositories are free, the private ones are paid. GitHub sells subscription plans, both to individuals and businesses. The prices vary mainly according to the number of private repositories — collaborators and public repositories are unlimited. Here are the GitHub plans:



The biggest revenue stream of Git Hub is the Enterprise plan — over 50% of its income. GitHub One aims at large companies. It has every feature from the Enterprise plan, with some extras, such as 24/7 support and community-powered security. Besides the subscription business model, GitHub also makes money from its marketplace and shop. The marketplace allows users to share their apps on the platform. On every sale made there, GitHub cuts 25% as a commission. And the GitHub Shop offers merchandise like clothes and collectibles.

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HOW DOES HBO MAKE MONEY?

Nowadays, the HBO business model is a subscription business model, based on three main revenue streams: HBO cable channel, HBO app, and HBO Max (streaming).

HBO CHANNEL

HBO has currently around 23.6 million subscribers in America, which come from what AT&T calls HBO's "wholesale" channels — those who pay for HBO through an existing MVPD (multichannel television). And it's curious to know that, even though HBO Max became free as part of the HBO "regular" subscription, only about 1 million subscribers have activated the app. The HBO subscription price is between $5 and $20, depending on the channel package provided on cable or satellite TV.

HBO APP

In 2015, HBO moved to OTT (over-the-top media service). The network started allowing customers to subscribe to HBO via the app, regardless of a previous cable subscription. This put the company into B2C transactions, as a new market strategy, in accordance with consumer demand. That's because, in recent years, we have been experiencing a new way consumers access television content.

The mobile devices along with the high-speed broadband

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internet have made it easier for customers to watch their favorite shows anywhere, anytime. This customer segment has realized that paying a monthly cable subscription has no longer been the most efficient way to watch TV — as sometimes they will pay for content they will never watch.

The HBO app (former HBO Now) came to meet a demand from people who wanted to pay for an on-demand à la carte service. The subscription fee is $14.99 per month and gives access to the same catalog that people would get on TV, via browser, and on some major platforms and providers.

HBO MAX

But the changes didn't stop with "watching TV on the computer". A powerful new entrant came to transform everything we used to know as television — Netflix. It's fair to say that Netflix has even created its own Blue Ocean – at least, as long as the giants of the media industry hadn't reached it.

The success of video streaming companies (first Netflix, followed by Hulu and Amazon Prime Video) made revenue for cable providers and premium cable networks, such as HBO, decrease significantly (both from subscribers and advertising revenues).

HBO quickly perceived that the future of television is not cable. From one side, HBO has an advantage against Netflix: while the first streamer didn't have a subscriber base, HBO has tens of million people as its regular consumers.

On the other side, HBO still doesn't have the popularity of the first. But it is surely working to get there. HBO Max streaming service provides access to the same HBO catalog available on the channel and the app, plus the whole Warner

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Entertainment programming. The subscription costs $14.99 per month (and that is also a nice marketing move to strengthen HBO Max rather than HBO app.

ADVERTISEMENT

Besides the subscription business model, HBO also benefits from advertising opportunities. Although the network's value proposition involves not airing commercials during the programming, sponsors (such as Apple and Jeep) enjoy paying premium prices to place their products into the programs and have their names associated with nice productions.

MERCHANDISING

Despite the production of merchandise for several shows, merchandising is not a big source of revenue. Especially because this strategy aims mostly at kids, and the main HBO customer segments are adults, who watch shows like Game of Thrones at night.

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HOW DOES NIKE MAKE MONEY?

Nike is the largest footwear and apparel seller in the world, and its revenue is generated mainly from these sales. Although its footwear items are designed especially for athletic purposes, with massive investment in innovation and high-quality products, most of them are usually worn on a daily basis, for leisure times.

Nike also sells sports equipment and accessories, such as balls, eyewear, bags, gloves, digital devices, and more, as well as recreational articles for many physical and outdoor activities. The company targets men, women, young athletes, and kids — in order of revenue. And Nike's product subdivides into six categories: Running, Basketball, Jordan Brand, Soccer, Training, and Sportswear (lifestyle products), being Running, Jordan, and Sportswear are the strongest ones in revenue.

NIKE'S OUTSOURCING

Nike doesn't actually produce the items it sells. Its manufacturing is all outsourced, mostly outside the United States. They are more than 300 external independent suppliers, in over 35 countries, such as Vietnam, China, Indonesia, and Thailand.

Manufacturers in India, Argentina, Italy, Mexico, and Brazil are also contracted to produce for local markets. In spite of its

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large supply chain and manufacturing network, Nike still focuses on maintaining the quality and innovative character of its products, investing heavily in research and development.

- **Competition:** Sports articles and apparel market is marked by massive competition, not only in the USA but all over the globe, both in marketing and supply chain — because the amount of suppliers for high-quality raw materials is limited. This competition leads to a great investment in research and development and in marketing and sales, in order to stand out;

- **Trends:** Nike's success relies on anticipating customers' demands. But these changing preferences are not always easy to predict. So, there is no certainty that every new product will gain the expected acceptance in the market. Therefore, it requires a great expenditure in adjusting the mix to keep profitable. Moreover, Nike relies on experts in several areas in order to produce innovative articles, such as engineers, physiologists, designers, biochemists, chemists, orthopedists, coaches, etc.;

- **Global risks:** Some global conditions and changes can have either positive or negative impacts on sales, such as economic crises or recessions (especially in emerging nations), environmental policies, trade regulations, data security and privacy, and more.

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HOW DOES GLASSDOOR MAKE MONEY?

Currently, Glassdoor offers a wide range of solutions for helping companies to find suitable candidates for their job vacancies. While employees and applicants can enjoy the platform features at no cost, the employer-side is monetized. Let's take a look at Glassdoor's revenue streams.

JOB POSTING

For small businesses, Glassdoor applies a freemium-based strategy for posting open vacancies. The first three job posts are free. Over that, the platform charges $249 per listing. For medium, large and enterprise organizations, there are more complex packages in order to meet their demands.

JOB ADVERTISING

The job ads aim to boost attention to specific listings, by promoting them at the top of the job feed. They are part of premium charging packages and vary according to the number of posts and promotions.

EMPLOYER BRANDING

Employer branding refers to how a company is presented on the platform. Employers may bring a great review to the top of the feed, add photos and videos, remove competitors' ads,

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create targeted campaigns, and more. These features are all part of a wider premium package.

FUNDING

Besides its recurrent revenue, Glassdoor has also relied on substantial amounts of funding, summing up to a total of $204.5 mi in ten rounds, until the company was acquired by Recruit Holdings, in 2018.

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HOW DOES PAYPAL MAKE MONEY?

TRANSACTION FEES

Regarding individuals, PayPal charges a fee that changes according to the country, each time you send and receive money online. This fee is calculated on the amount sent using a debit or credit card, or PayPal credit. As to business accounts, merchants who use PayPal to sell online pay a fee of 2.9% on the amount they receive for sale, plus US$ 0.30 per transaction. However, bigger amounts have their fees reduced.

INTERNATIONAL PAYMENTS

When receiving payments from different countries, PayPal charges fees that include currency conversation costs besides the international payment fee-fees also vary according to the currency.

BUSINESS ACCOUNTS

The Payment Pro-business accounts have some special resources and services, at a cost of $30 per month.

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WITHDRAWAL FEES

You can receive money through a custom link, but PayPal will charge you when you withdraw the amount. In the USA, the fee is 2.9% of the total received, plus $0.30. Also, the company charges a fee for each time you withdraw money with your debit card.

INTERESTS

The money kept in PayPal is deposited in liquid investments, that provide interests as revenue.

PAYFLOW

Payflow is the gateway the merchant accounts can integrate into their websites. There is a free plan, by which the customer enters the payment details on a page hosted by PayPal, and there is a premium option, at a cost of $25 per month, by which the user may design their checkout page. Moreover, PayPal charges a fee of $0.10 for credit card payments and offers other optional features, such as fraud protection, recurring billing, and buyer authentication.

WORKING CAPITAL

You can borrow up to 15% of the last 12 months of sales (up to $85,000). There are no interests and the fee is fixed, and the payments are made as a percentage of PayPal sales. The larger the percentage allocated, the lower the fee.

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BUSINESS IN A BOX

PayPal offers some solutions in association with Xero and Woo Commerce, and the company earns an affiliate commission on that.

CREDIT INTEREST

If you use a credit of $99 or more, paid fully within 6 months, you don’t pay for it. But, for any other conditions, the annual percentage rate is 19.99%, counting from the posting date.

PAYPAL HERE

It is an offline mobile application and card reader, that allows you to receive payments from any kind of card.

OTHER COMPANIES

PayPal owns other companies, such as Braintree, Xoom, and Venmo, that add value and revenue sources to the company.

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HOW DOES TOYOTA MAKE MONEY?

It is true that 90% of Toyota's revenue comes from automotive sales, but the company also generates revenue from other operations, such as financial services, investments, and machinery.

- **Toyota's Automotive Business:** Most of Toyota's automobile sales take place in Japan and North America. Its strongest and most profitable brand is Lexus, with more than 10 million sales all over the world;

- **Toyota's Financial Services Business:** Its financial services division grows faster, but it still represents only around 6% of Toyota's business model's revenue. It focuses on automotive sales financing, credit cards, and others, operating in 30 countries (about 90% of Toyota Motor Corporation markets);

- **Toyota's other business:** Toyota holds stakes in other automotive manufacturers, such as Subaru, Isuzu, and Mazda. It also has interests in biotechnology, robotics, aerospace, etc. Lately, the company has been particularly oriented towards developing hybrid electric vehicles and related technology.

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HOW DOES MICROSOFT MAKE MONEY?

Microsoft makes money through three core business segments:

PRODUCTIVITY AND BUSINESS PROCESSES

The segment consists of products and services developed for productivity and information, and represents about one-third of Microsoft's revenue. Its flagship is the Microsoft Office software suite. Besides, there are LinkedIn, the professional social network, and Dynamics, the cloud-based solutions for business apps, such as ERP or CRM.

INTELLIGENT CLOUD

The other third of Microsoft's revenue is made up of its public, private, and hybrid cloud services, such as Microsoft SQL Server, Windows Server, and Azure. Besides, there are enterprise services, like Microsoft Consulting, to help customers plan and implement Microsoft products.

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PERSONAL COMPUTING

The final third comprises the products and services created to improve users' experience. The main example is, of course, Windows, with the licenses in devices. Other solutions include Xbox games and consoles, advertising in Bing (the search engine), and sales of devices and PCs.

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HOW DOES SHOPIFY MAKE MONEY?

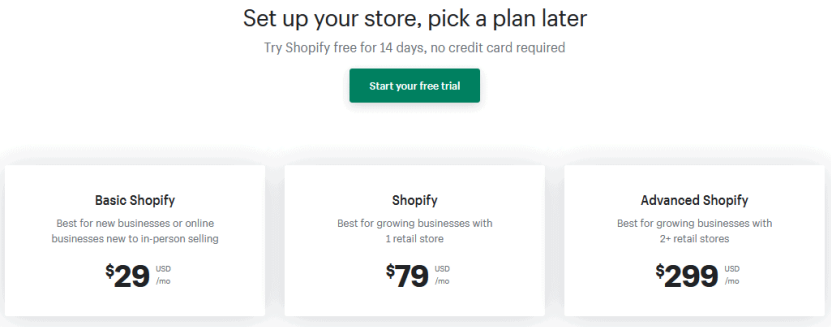
Shopify's biggest audience is small and medium-sized businesses. To serve them, the platform has three subscription plans — all with a 14-day free trial period: Basic Shopify, Shopify, and Advanced Shopify. Basic Shopify costs $29 a month. It offers an online store with unlimited products, 24/7 support, and app sales. However, there are only two user accounts, fees for payment via credit card are higher, and the discount on shipping is the lowest, for example.

Shopify, the intermediate subscription, is the range where the vast majority of the platform's customers are concentrated. It is $79 a month, with five user accounts, fees, and discounts better than the basic plan, but a little more expensive than the Advanced plan. Shopify's highest sales volume, in turn, comes from merchants who opt for the most complete plan, Shopify Advanced, at a cost of $299 a month, with 15 user accounts, more reasonable fees, and all the options for points of sale and everything else that the platform has to offer.

Aside from these three regular plans, there is still the option of Shopify Plus. It is a service aimed at corporate customers, with large volumes — and is also accountable for driving sales on the platform. Shopify Plus does not appear on the standard subscription plans page, as it is designed for business customers, with a much higher cost than the Advanced plan. This amount is stipulated via the team's service, based on a case-by-case analysis, but it usually starts at $2,000 per month.

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The bandwidth of the Plus platform allows Shopify to handle thousands of orders per minute, without the overhead. And sales can be made internationally, in several languages, and by more than 70 means of payment. Shopify Plus is the highest retention plan and has brands of the caliber of Unilever, for example. In 2018, the corporate account base was over 5,300 clients.



MERCHANT SOLUTIONS

Merchant Solutions, as commented before, are additional services offered by the platform. These are features or services that enhance the experience with Shopify by merchant companies. Among them are:

- **Shopify Payments:** It is a fully integrated payment processing service, which allows entrepreneurs to accept and process credit cards online and offline. This service represents the highest revenue among Merchant solutions, with their payment processing fees. That's because, according to Shopify, two-thirds of its customers activate Payments;

- **Shopify Shipping:** It offers several shipping partners to choose from. The merchant selects the partner and can print shipping labels, make returns, track orders,

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etc., all via the Shopify platform;

- **Shopify Capital:** It provides business growth for user companies, through working capital. For that, Shopify buys a number of future receivables or releases a loan to the entrepreneur. For payment, the merchant will pay a fixed percentage of their daily sales, until the balance is zero;

- **Shopify POS:** It's a smartphone application that allows sales in a physical location.

In addition to increasing the revenue stream for Shopify — even exceeding subscriptions — these commercial solutions improve the retention rate of the customer base, strengthening the core business.

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HOW DOES ZOOM MAKE MONEY?

Zoom applies the freemium business model. In other words, it uses a monthly subscription system as a revenue stream (there are four different paid plans for meetings), but it also offers a free option, that is, at no cost, with more limited resources. Its main resources are online meetings. The plans are:

- **Zoom Basic:** It is a free plan. Although it offers unlimited meetings and also an unlimited time in a video call between two users, group calls cannot exceed 40 minutes uninterrupted. And there can only be a new call after 10 minutes. In other words, the free plan is aimed at the individual user, who wants to use the tool only as a substitute for the regular phone call, for example;

- **Zoom Pro:** This plan is aimed at small teams — or individual entrepreneurs, such as teachers and coaches. At $149.90 a year, video calls can take place among up to 100 participants, with a 30-hour time limit per call. In addition, it offers features such as personalized ID, reports, Skype integration, and cloud recordings of up to 1 GB;

- **Zoom Business:** With each license of $199.90 a year (starting at 10 licenses for $1,999/year) this plan has all the features of the Pro, for up to 300 simultaneous participants. Aimed at medium-sized businesses, it includes features such as telephone support,

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personalized emails, logins, URLs, and an administrator panel, among others;

- **Zoom Enterprise:** In this plan, each license is $240.00 a year, starting at 50 licenses for $12,000/year. It is developed for large companies since it enables at least 500 participants. In addition, it offers unlimited cloud storage, dedicated support staff, and discounts on other extra software benefits;

- **Zoom Business United:** With each license at $350.00 per year, and a minimum of 10 (at least, $3,500/year), this plan sums up Zoom Meetings and Zoom Phone.

Besides Zoom Meetings, the platform also offers other resources, such as Zoom Phone, Zoom Video Webinar, and Zoom Rooms, with different plan options.

In summary, the Zoom business model seeks to transform free users into paying consumers. Because subscribers start with the Basic model, at no cost, but realize that their experience can be much better if they hire a paid plan. As the rates are not exorbitant, it is easy for the user to opt for the upgrade.

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HOW DOES RIOT GAMES MAKE MONEY?

Free-to-play games build their revenue on microtransactions, a type of digital commerce that has been an exorbitant success, especially in mobile games. League of Legends earns an average of $31 a second in microtransactions, or $2.64 million each day. The great advantage of Riot Games and its League of Legends is that, while most online games have transformed these microtransactions into a “pay-to-win” formula, League of Legends maintained the integrity of the game, and added only paid extra features.

As mentioned above, most of League of Legends’ microtransactions are about cosmetic improvements on characters or shortcuts for unlocking new ones. In order to allow it, the game has the so-called Riot Points (or RP), the currency used to buy characters, runes, and skins in the League.

To have an idea, most skins in the game cost something between 750 and 975 RP — which means six to eight dollars per skin. Some are cheaper and some are more expensive than that, depending on how fancy the skin looks. And, sometimes, the League has even occasional sales to help users out.

Besides microtransactions, League of Legends is also one of the top viewed games on YouTube, with over 1.6 million followers that sum up billions of views on their channel. And, even though Riot doesn’t formally put advertisements on their

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YouTube channel, their sponsors are clearly visible.

Moreover, Riot Games advertises merchandise on stream, even though they are small and subtle, and also releases some official League of Legends items, such as stuffed animals and figurines. And, finally, some partnerships call attention as well: like the one with Coca-Cola, a strong supporter of eSports. Riot Games and Coca-Cola have partnered to advertise for League on the giant's products, and that has been successful for both brands.

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HOW DOES STARBUCKS MAKE MONEY?

Simply speaking, Starbucks makes money by selling coffee, tea, food, and other ready-to-drink beverages in its company-operated or licensed stores. Other revenues also come from royalty and licensing incoming, consumer-packed goods, food service, etc., since Starbucks products can be found in grocery stores, convenience chains, and other beverage selling places. Although almost half of the stores are franchised, Starbucks still makes most of its money from its company-operated stores: the segment makes 81.5% of total revenue ($22.4 bi), which is nearly ten times its licensed stores' revenue. However, it is fair to highlight that licensed stores have shown the highest revenue growth.

STARBUCKS' REVENUE STREAMS BY OPERATING SEGMENTS

- **Americas (U.S., Canada, and Latin America):** This segment includes both company-operated and licensed stores. It's the biggest and most mature business segment;
- **CAP & EMEA:** CAP stands for China & Asia Pacific, while EMEA stands for Europe, Middle East, and Africa. Both the segments include company-operated and licensed stores, but these operations are in several

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levels of development;

- **Channel Development:** This segment includes roasted whole beans and ground coffee, Starbucks and Teavana single-serve products, ready-to-drink beverages, and other products sold outside the company-operated and licensed stores.

STARBUCKS' REVENUE BY PRODUCT TYPES

- **Beverages:** The majority of Starbucks revenue comes from the sale of beverages (around 60%), especially coffee ones;
- **Food:** Food is the second-highest revenue source, standing for 18% of the total generated;
- **Packaged and single-serve coffees & teas:** Revenues generated from these products are the lowest, representing 8% of the total;
- **Others:** 14% of the total revenue comes from royalty & licensing, selling beverage-related ingredients, server ware, and ready-to-drink beverages.

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HOW DOES STRIPE MAKE MONEY?

As a payment processing fintech, Stripe makes money by taking a percentage and a fixed fee (depending on the package selected) on every payment it processes. This multisided business model depends on two related clients:

- **Customers:** People who buy over the internet;
- **Vendors:** Businesses and organizations that receive web and mobile payments from customers.

Nowadays, the Stripe revenue model is based on 7 sources:

PAYMENT PROCESSING FEES

This is the greatest share of Stripe's revenue, handling payment transactions through the internet. This involves five payment processing products:

- **Payments:** The most popular type, used by clients such as Amazon. It charges 2.9% over each successful payment, plus a fixed fee of $0.30 (plus 1% for international cards and 1% more when requiring currency conversion). For instant payouts, it charges 1% of payout volume;
- **Billing:** For subscriptions and invoicing for businesses with recurring revenues, such as SaaS companies, like Slack. There are two plans. Starter, with 0.5% of recurring charges, and Scale, with advanced

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integrations, starting at 0.8% of recurring charges;

- **Connect:** For platforms and marketplaces that need infrastructure to pay the third-party sellers, such as Shopify. The Standard plan is free of charge. Custom or Express plan charges $2 per monthly active account, plus 0.25% and $0.25 per payout sent;
- **Terminal:** For an in-person point of sale payments, with hardware, for clients like ShowClix. For in-person card processing, it cuts 2.7% plus $0.05 per charge. For international cards, 1% plus 1% if currency conversion is required;
- **Invoicing:** A global invoicing platform that creates and sends a Stripe-hosted invoice in minutes. Or uses the Invoicing API to automate payment reconciliations. The Starter plan offers 25 free invoices per month and charges 0.4% per paid invoice after that. The Plus plan, with advanced features, charges 0.5% per paid invoice.

ATLAS

It is a service for customers to set up and incorporate a startup business within minutes. Stripe incorporates the business in Delaware, integrates the business with their payment infrastructures, and gives credits and discounts from businesses like Amazon Web Services (AWS), plus legal and accounting firms. A one-time setup fee of $500 has to be paid. Also, the ongoing costs encompass a Delaware registered agent ($100 per year), corporate tax prep (starts at $250 per year), Delaware tax filing (starts at $225), and a business bank account.

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RADAR

It is a machine learning application that helps businesses detect and identify fraudulent transactions, used by clients, such as Kickstarter and OpenTable. Its algorithms mark suspicious payments and stop processing the transaction. Stripe charges $0.05 per screened transaction.

SIGMA

It is Stripe's warehousing tool used for businesses to analyze their operations and finances to help teams get insights into the ventures. It charges a monthly fixed fee according to the infrastructure needed, plus a variable fee per credit card charge, which starts at $0.02 per charge.

ISSUING

It is a corporate service to create cards for businesses and their employees. Stripe charges $0.10 per virtual card and $3 per physical one. The first $500K in card transactions are free, after that, the cost is 0.2% plus $0.20 for each transaction. Again, for international payments, 1% plus $0.30 and additional 1% for currency conversion.

TREASURY

It is an invite-only service that allows businesses to embed financial services in their marketplaces or platforms, for their customers to hold funds, pay bills, earn interest, and manage cash flow. The fee is customized.

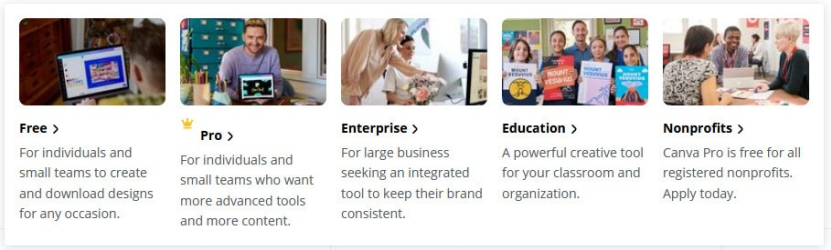
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PREMIUM SUPPORT

Stripe customers all have access to standard free support. However, Premium Support, with 24/7 operational and technical support across the globe has a cost of over $1,800 per month, depending on the company's size.

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HOW DOES CANVA MAKE MONEY?



Canva is a freemium business model: It is free to use, with subscription plans that offer additional features, images, and templates. There are five revenue streams at Canva:

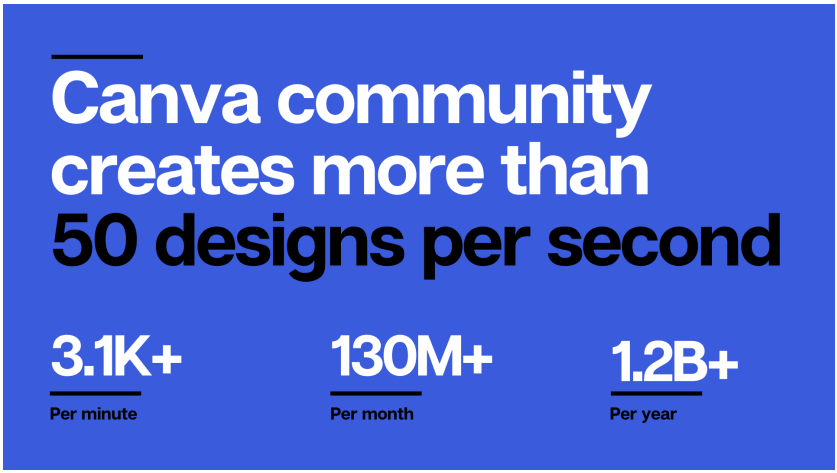
CANVA PRO

Canva Pro is a premium subscription plan, with prices starting at $6.50 per month, depending on how many users will use the subscription. The Pro features include:

- 75+ million premium stock photos, videos, audio, and graphics
- 420,000+ free templates with new designs daily
- 1 Brand Kit with your own fonts and logos
- Unlimited use of Background Remover
- Saving designs as templates for your team to use

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- 100 GB of cloud storage
- Scheduling social media content to 7 platforms



CANVA ENTERPRISE

Canva Enterprise is another subscription plan, aimed at large businesses, interested in managing their brand. The cost starts at $20.50 per person, monthly. The Enterprise features include:

- Establishing your brand's visual identity with logos, colors, and fonts across multiple Brand Kits
- Controlling your team's access to apps, graphics, colors, logos, and fonts with brand controls
- Controlling team uploads into Canva
- Built-in workflows to get approval on your designs
- Setting which elements your team can edit, and stay on-brand with template locking

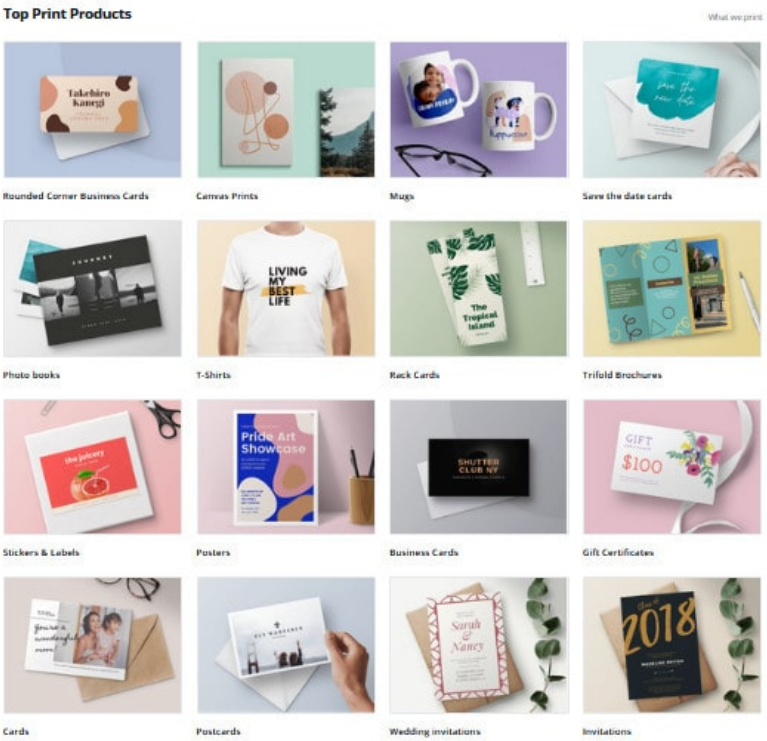
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- Unlimited storage
- Single-sign on (SSO)
- 24/7 Enterprise-level support

Educations institutions have discounts on the Enterprise plan, and non-profit organizations can access it at no cost.

CANVA PRINT

Canva has partnered with printers to print and deliver the material printed. Users can make their designs in the applications and receive the physical material at their address. Canva charges the service according to the type of product, order volume, and location for delivery.



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MARKETPLACE

Sometimes people do not see the necessity of subscribing but want to buy some premium design. In these cases, Canva charges a one-time fee for single usage. Users can find paid images and templates, ready to use. The content is developed by designers, who leave their work available on the platform. For every sale, Canva takes 35%. For content sold in the Pro plan, creators received 50% (cutting off taxes and processing fees).

DESIGN SCHOOL

Canva also has a Design School, by which the company offers online and in-person classes, about design, branding, and social media, hosted by Canva's experts. Online classes are free and the presential ones start from $5.



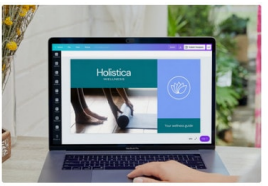
MAY 24 **Creative Lab - in person Design Mentoring at Canva Space (SYDNEY)**

Tue, May 25, 2021, 10:00 AM
Canva HQ, Surry Hills, NSW
Starts at A$0.00



MAY 25 **Social Cause Marketing Bootcamp**

Wed, May 26, 2021, 12:30 PM
Online event
Starts at A$0.00



MAY 26 **Design Makeover with Samantha**

Wed, May 26, 2021, 3:00 PM
Online event
Starts at A$0.00

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HOW DOES DJI MAKE MONEY?

First things first: Manufacturing drones is not a simple task. It actually demands deep knowledge and mastery over the production, which includes processes that require precision machining, and high-degree engineering and tooling.

DJI was able to achieve a high level of quality while keeping low costs, especially due to the fact that the company has been able to find skilled labor and use the same technology platform both for consumer and enterprise solutions, resulting in cheaper and faster launching.

Besides that, it is important to highlight that DJI has indeed invented its own market. Because DJI developed every feature of its solutions: stabilization mechanisms, flight control systems, motors, cameras, software, etc. Industries that have never used drones — and maybe have never thought of doing it — found out they actually needed those brand-new solutions that they have not even known of.

Filmmaking, photography, anthropology, rescuing, military, real state, agriculture, and zoology, among others, are now able to check and/or register their focuses of attention remotely.

DJI's product range includes drones, cameras, camera stabilizers, gimbals, accessories, systems, and software. Its revenue comes from all the markets in the globe, distributed as 30% from Asia, 30% from the USA, 30% from Europe, and

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the last 10% from Latin America and Africa. In the early years, DJI saw its sales increase around 3 or 4 times every year. Its annual sales are estimated at $3 mi and its valuation is over $8 bi.

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HOW DOES INSTACART MAKE MONEY?

To understand where the money comes from, let us check how Instacart works. First of all, customers access Instacart's platform via website or app. Whenever an order is placed on the platform, the so-called personal shoppers in proximity will receive a notification of the request. These shoppers are independent contractors, and they receive by delivery made. Once a shopper accepts the request, they drive to the grocery store chosen, pick up the groceries and deliver them to the customer's address. Now, we can move forward to revenues.

COMMISSIONS

Every time an item is sold through Instacart's platform, the company receives a percentage of the price, according to the agreement made with the retailer. In some cases, Instacart even sells some products at a higher price to increase markup.

DELIVERY AND SERVICE FEES

Delivery fees vary from $3.99 to $9.99. Because Instacart, just like other platforms, such as Uber or Lyft, charges according to the demand and external conditions (such as the weather), the so-called surge pricing. And also due to shipment scheduling. These fees are distributed between the store and Instacart. The service fees get around 5% to 10% of

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the purchase. Sometimes, there are additional fees, for example, when an order surpasses a certain weight threshold or when there is a bag fee.

SUBSCRIPTION

The company has the Instacart Express. It is a subscription service that ensures unlimited deliveries (or orders above $35), cheaper service fees, and no surge pricing for an annual ($99) or monthly fee ($9.99).

ADVERTISING

Sellers and brands can advertise on the platform, for additional visibility. The price will depend on the categories and search terms. Usually, advertisers set a budget previously, to avoid overspending.

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HOW DOES ALIBABA MAKE MONEY?

Alibaba Group is a massive holding that controls numerous subsidiaries and profits for a long-range of services, spearheaded by the e-commerce initiative, which represents almost 90% of the group's revenue.

The Group also counts on other means of making money, such as advertising, membership fees, cloud computing, and also on delivery service sales. Alibaba's income, although diverse, centers on its marketplace offerings, which connect users from every corner of the world to Chinese businesses that sell a variety of goods.

Alibaba has a commission granted for every transaction made on the sphere of its websites Alibaba.com and Tmall.com, also, concerning the functioning of Taobao.com, it operates similarly to eBay and other companies alike, but, instead of gaining money through a transaction, they charge the merchants for advertising.

Tmall.com generates revenue for the group by the annual fees paid by the users, which can change depending on certain pre-agreements made by the users and the Group, related to the volume of transactions.

Membership is also a solid source of revenue for Alibaba and offers the user/merchant the opportunity to subscribe to the Gold membership program, which gives them an upper hand against the other business in matters of advertised items.

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Also, since they have a solid presence in the technology realm, they offer plans for storage services, networking, and security. In this list, we can mention Alipay, a tool to facilitate the payment process, and charges for every transaction and for the use of the platform.

Another ramification of the Business Group is Aliexpress, a global marketplace with a strong presence in big markets such as Russia, Brazil, and the United States, with an on-demand service.

Alibaba Group Companies



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HOW DOES TIKTOK MAKE MONEY?

Like any potential social media, TikTok's business model has started with advertising to make money, but increased two more revenues: app purchases (TikTok Coins) and e-commerce offers. Let's take a deeper look at these avenues below.

TIKTOK ADVERTISING

The largest source of income in social media, TikTok has personalized advertising for each user, like Facebook. There are also TikTok Brands: Takeover, Hashtag, Effects. The TikTok Branded Takeover is a type of advertising that takes over the screen when the user opens the app. Similar to it, there's TikTok View Ads, where the advertising doesn't cover the screen, but in the feed. The TikTok Branded Hashtag Ads appear on the discovery page on a video exposing or using the product, challenging the users to engage the hashtag in making a video. The TikTok Branded Effects Ads are very common and very popular. It's a filter to take photos with frames or stickers with the brand for 10 days.

TIKTOK COINS

When a TikToker (a user of TikTok that creates content) reaches 1,000 followers, it's possible to receive gifts with TikTok Coins, from users in their live videos. To receive these coins, the TikTokers have to exchange them for real money

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through the app — and then TikTok charges a commission.

E-COMMERCE OFFERS

Considered new and recent, TikTok is working on ways to integrate e-commerce into its platform, with selling tools that make available shopping events or even ways to display products during a live stream. In each sale, TikTok profits a commission.

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HOW DOES DOORDASH MAKE MONEY?

FEES

DoorDash relies on three kinds of fees, that can vary based on location and demand. They are:

- **Delivery Fee:** $1.99 — $4.99
- **Small Order Fee:** ~ $2.50
- **Service Fee:** ~ 9% — 11% of the subtotal

COMMISSIONS

DoorDash takes up some percentage of the order subtotal every time a transaction is complete on its platform. The restaurants must choose a plan:

- **Basic:** 15% commission, with the highest delivery fees for the customer and limited delivery area;
- **Plus:** 25% commission, with reduced delivery costs, expanded delivery area, and inclusion into the loyalty program;
- **Premier:** 30% commission, with the lowest fees, the largest delivery area, loyalty program, and the warranty of 20 deliveries a month (otherwise it gets a fee refund).

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SUBSCRIPTION

DoorDash has launched DashPass, a subscription service that offers unlimited deliveries with no delivery fees (on orders over $15) for $9.99 per month. There are more than 1.5 million subscribers nowadays.

SAAS

DoorDash Storefront is software for restaurants that want to own their personalized ordering and delivery system. Merchants pay a monthly subscription to use the platform.

DASHMART

DoorDash has expanded its delivery service to over 2,500 convenience stores, with some large retail players, such as CVS, Walgreens, 7-Eleven, Wawa, etc.

ACQUISITIONS

DoorDash has acquired four companies so far:

- **Caviar (2019):** food-ordering and delivery service;
- **lvl5 (2019):** a software company that uses computer vision to provide mapping to robots and autonomous vehicles;
- **Rickshaw (2017):** delivery network;
- **Scotty Labs (2019):** teleoperations company focused on self-driving vehicle technology.

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HOW DOES GOODRX MAKE MONEY?

COUPONS

The biggest revenue stream of GoodRx (approximately 90%) is the coupons the buyers apply when they fill in a prescription. The coupons are codes, accepted at over 70,000 pharmacies in America:

1. The consumer uses a unique code to purchase a prescription with a discount;
2. The code gets recorded in the pharmacy's database;
3. GoodRx makes money via code (it can be a percentage of the sale or a fixed fee);
4. As the code is recorded, whenever a customer refills their prescription, they use the coupon and GoodRx get paid.

SUBSCRIPTION

GoodRx was the premium subscription the company launched in 2017. For a monthly fee, users get discounts on over 1,000 prescription drugs and healthcare services. Individuals may subscribe at $5.99 per month. Families (up to 5) can subscribe for $9.99 a month.

There is also the Kroger Rx Savings Club powered by

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GoodRx, a partnership between GoodRx and Kroger, with an annual-fee plan of $36 for individuals and $72 for families (up to six), that offers lower prescription prices at Kroger pharmacies.

TELEHEALTH

GoodRx offers both its own medical checks (through HeyDoctor) and a marketplace for third-party medical services. HeyDoctor allows users to connect with doctors that are vetted by GoodRx, who provide various medical services. Visits start at $19 and do not require insurance. The marketplace enables medical professionals to offer their services on its platform. In this case, GoodRx business model revenue is based on commissions.

ADVERTISING

GoodRx partners up with pharmaceutical companies to advertise their solutions (such as co-pay cards or patient assistance programs) on the platform while offering discounts to users. The company usually charges a fee in exchange for exposure during an agreed period of time.

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HOW DOES AMWAY MAKE MONEY?

REGISTRATION FEE

Amway sellers are not called contractors or distributors, but Amway Business owners. Anyone that wishes to become an Amway business owner must pay a registration fee to start. This fee varies according to the country that which it is held.

SALES

Amway manufactures more than 450 products and the majority of its revenues comes from the sales of these products, through multi-level marketing. The ABOs (Amway's business owners) make money in three ways: one by selling products directly to the customers, another when they get bonuses if the sales volume is high, and the last one through incentives when the business grows.

Currently, nutrition and wellness products are responsible for approximately 52% of total sales, and beauty and personal care products are responsible for around 26% of total sales. Nutrilite, Artistry, eSpring, and XS are some of the top-performing brands of Amway.

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HOW DOES AFFIRM MAKE MONEY?

Affirm is a pioneer in point-of-sale loans (POS), through a chain of partners that agrees to allow their clients to choose the method of payment. This new model of shopping is very popular among the Millennial and Z generations, since they tend to have less income and, consequently, less wealth and access to credit cards.

The company revenues come from two opposite ends: first, they charge interest over each loan that a customer issues from them, and they also charge the merchants for the cost of the processing transaction between merchant and customer.

Affirm charges, on average, a total of 18% percent of the interest in every transaction, although this percentage ranges from 0% to 30% percent, and it is based on the customer score and their monthly income, so people with a good financial background are likely to pay less interest.

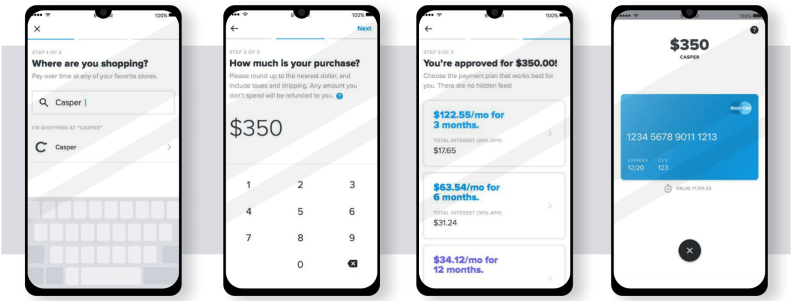
Concerning the merchant's fees, Affirm does not publicize the exact amount they charge from each merchant, but the estimate is around 2% and 4% percent, with a value fluctuation depending on the customer payment score, the number of acquired products, the issued amount, and the nature of each product. All that information plays a part when it's time to calculate the fee.

To assess the data of each customer, related to their financial capability and debt records, Affirm enlists the help of an AI

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technology that review customers' application and search for their payments' information available at FICO, comparing them with other spending data.

That is necessary to create a virtual profile of each person, containing all the information needed for the company to give the green light for the loan. This is the standard protocol of the company, and it is used in all transactions.



Use it anywhere online
Tell us where you're shopping

Only the credit you need
Enter your purchase amount

You're in control
Choose your payment schedule

No need to wait
Use the virtual card for your purchase

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HOW DOES WEWORK MAKE MONEY?

WeWork applies four types of memberships :

ALL ACCESS

It is the cheapest form of membership, the favorite one by most freelancers and solo workers. The clients are offered many desks in a workspace to choose where to work. They can follow their own hours and schedules.

DEDICATED DESKS

As the name already suggests, in this plan, the clients have their own assigned desks, dedicated to their business, and these desks will always be booked for them, as long as the plan is still valid. It is a nice alternative for those who want a more stable option, but still don't need a private space.

STANDARD OFFICES

This is the best option for small teams or solo workers who require privacy. The offices can be decorated as the client desires, and they usually accommodate as many as twenty people.

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OFFICE SUITE

The office suite is suitable for as many as 100 people, so it is indicated for larger businesses that do not need/want to buy their own spaces. There are different options of layout and the environment can be customized, including reception desks, conference rooms, executive offices, and more.

FULL-FLOOR OFFICE

This brings the same concept of the Office Suite but maximized into a full floor. It offers the highest level of exclusivity and privacy with the client's own branded entry, conference rooms, executive offices, etc., for over 100 workers.

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HOW DOES ROBINHOOD MAKE MONEY?

REBATES FROM MARKET MAKERS AND TRADING VENUES

When users buy or sell stocks, ETFs, and options, Robinhood sends the order to market makers or exchanges. Market makers offer rebates to brokerages while ensuring better prices for users.

Robinhood's algorithm seeks to send the order to the market maker most likely to give the best execution and a small portion to an exchange. Under proper exchange fee schedules, the fintech pays the exchange when it takes liquidity, and gets paid when provides liquidity.

The same occurs to Robinhood Crypto, which receives volume rebates from trading venues, that provide competitive prices.

ROBINHOOD GOLD

The user pays $5 a month to have access to Morningstar research reports, NASDAQ Level II Market Data, bigger instant deposits, and margin investing. When investing on margin, if the customer uses more than $1,000 of margin, they will pay 2.5% yearly interest on the settled margin

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amount above $1,000.

STOCK LOAN

Robinhood earns money from lending margin securities to counterparties.

INCOME FROM CASH

Robinhood earns income on uninvested cash that isn't swept to the Cash Management network of program banks, by depositing this cash in interest-bearing bank accounts.

CASH MANAGEMENT

Robinhood offers a debit card in connection with a brokerage account provided through Robinhood Financial LLC, a member of SIPC and FINRA. Sutton Bank, which issues the card pursuant to a license by Mastercard, receives an interchange fee that is passed to Robinhood. The fintech also receives fees from program banks for sweeping funds to them.

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HOW DOES OPENSEA MAKE MONEY?

OpenSea offers the infrastructure of its platform free of charge, however, the business model dictates that they take a percentage of the transaction fee as a service fee. Their fee structure matches the likes of other NFT marketplaces like Rarible.

To encourage NFT buyers and sellers to use the platform, OpenSea covers all Ethereum gas fees for all transactions on the platform.

SERVICE FEES/MINTING FEE

For every transaction on the platform, OpenSea takes a 2.5% service fee, meaning that a transaction of $1000 generates OpenSea a revenue of $25.

In its earlier days, OpenSea introduced the bundles feature to alleviate problems where Ethereum gas fees are more than the cost of an NFT, however, currently, OpenSea covers all Ethereum gas fees.

REGISTRATION FEES

To initialize a user's account, OpenSea charges a one-time fee between $70 and $300. OpenSea charges a fee of approximately $10 to $30 to gain access to a user's NFTs.

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CONTRACT APPROVAL FEES

Users that use OpenSea's custom NFTs contract pay a one-time approval fee for authorizing transactions. The fee can also be paid whenever a new cryptocurrency is used for the first time.

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HOW DOES PALANTIR MAKE MONEY?

Palantir was designed to work together with governmental agencies, through a public founding process, and only recently it became dependent on private sources, therefore, public investment is still a big part of the firm's income.

The Palantir business model depends on contracts to close deals, in which the duration, acquired services, and prices are stipulated. Since the company works with big data analysis, an ocean of delicate content passes through its channels, therefore, its contracts with clients contain non-disclosure clauses, and getting basic information about them is impossible.

What is known about Palantir's finances is that they have a revenue of close to US$ 1 billion per year, with contracts that range from US$ 1 million to US$ 100 million. What is known about those deals is that Palantir offers its analytic programs, plus support and tech specialists, but each contract is unique because the company model adapts to its clients' needs.

The U.S. Intelligence and Military sectors are the main customers of Palantir services, but they also provide its software to civil organizations, such as the Centers for Disease Control and Prevention (CDC) and the United Nations initiative World Food Program.

Their private clients are mostly made of banks and financial institutions, but also include great brands, such as Ferrari and

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Airbus, to gather data about the level of satisfaction of their consumers, and which points they can improve in their machines.

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HOW DOES MCDONALD'S MAKE MONEY?

While McDonald's business model focuses mainly on franchising, they also generate income in other ways. However, under franchising, they operate three different types of it. They are:

DEVELOPMENTAL LICENSE

Under this type of franchising, the franchisee invests their own capital in setting up their restaurant, which includes operational and real estate costs.

McDonald's supplies the products and receives a percentage as royalty from the sale. The company also charges a predetermined amount for every franchise that wants its license.

This type is the exact opposite of conventional franchising and is in use in more than 6.950 restaurants in over 80 countries.

CONVENTIONAL FRANCHISING

This structure is the most effective in the McDonald's business model. The company either obtains a long-term lease or owns the land where the restaurant is built, while the franchisee pays a minimum rent for a 20-year period and ongoing royalty to the company.

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The franchisee also pays for the signs and interior decor of the restaurant, while getting innovative and operational help from their parent company. This structure ensures that McDonald's revenue stream is stable and predictable, while maintaining profitability amidst low operational costs.

AFFILIATES

This structure receives the lowest investment from the company and accounts for equity investments.

It's mostly in use in China and Japan, where companies pay a percentage of sales as royalty for McDonald's products. These products include hamburgers, french fries, milkshakes, soft drinks, salads, coffee, and desserts.

COMPANY-OPERATED RESTAURANTS

While few, McDonald's has a number of restaurants that they own and operate, hiring employees and ordering supplies by themselves. However, the company's goal is to have 5% percent of its restaurants company-owned, while 95% will be owned and operated by franchisees.

McDonald's most profitable business model structure, the conventional franchising, allows them to keep up to 82% of revenue generated by their franchises, unlike the company-operated restaurants that only keep about 16% of their revenue. The success of their strategies in the international market has resulted in the term 'McDonaldization'.

Over the years, McDonald's has developed and improved

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upon its marketing strategies with the intent of increasing profits for its franchisees and the parent company. Such strategies include the enhancement of customer experience, by focusing on people, products, price, place, and promotion, which works together with its mission statement.

They have also worked on their growth strategies by working on strategies for retaining existing customers, regaining lost clients, and converting non-customers. This was their 2017 continuous growth plan and was listed as:

- Retain
- Regain
- Convert

In their efforts to carry this out, they made improvements on their digital platform, such as delivery services, while adding an experience of the future (EOTF) by the introduction of new technologies in their restaurants.

To further boost growth, they have also worked on diversity with the proposition of “Diversity IS Inclusion” and the acquisition of other companies, such as Donatos Pizza in 1968, and Boston Market in 2000.

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HOW DOES YOUTUBE MAKE MONEY?

Currently, YouTube is a giant with 2,3 billion users worldwide, who watch around one billion hours of video on the platform on a daily basis.

This loyal army of video watchers brings YouTube around US$ 9 billion in annual revenue!

Now that we know how YouTube started, and what is its mission statement, it's time to reveal the main secret — how does YouTube make money? After all, running such a big platform with so many videos must cost a fortune!

The primary revenue sources we'll discuss shortly include advertising (the largest source of YouTube income), paid memberships, collaborations & sponsorships.

We know you're triggered to learn more. So, let's discuss YouTube's revenue model in more detail.

ADVERTISING

As we've mentioned, advertising is the primary source of YouTube's income. It's being stated in YouTube's official statement. The platform offers two types of advertising: 1) video ads that appear before, during, or after the video and starts playing automatically, and 2) display ads that appear on the right side of the screen or as a banner at the bottom of

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the screen. According to estimations, in 2021, YouTube generated around US$ 21 bln from advertising.

YOUTUBE PREMIUM

YouTube also offers a premium membership that allows users to watch videos without ads, download videos to watch offline, and have exclusive access to content from YouTube creators. The price for this service is US$ 11.99 per month, and this subscription-based revenue is another income source for the platform.

SUPER CHAT

Another way YouTube makes money is by offering users the chance to pay to have their message highlighted in the chat stream during a live broadcast. This feature is called Super Chat, and it allows fans to directly support their favorite creators. The prices for Super Chat start at US$ 0.99 and can go up to US$ 500.00 per message.

CHANNEL MEMBERSHIPS

Similar to Super Chat, channel memberships offer fans a way to support their favorite creators. From US$ 0.99 to US$ 49.99 per month, YouTube users can access exclusive content, create customized emojis, receive live chat badges, and more.

YOUTUBE MERCHANDISE

Some YouTube creators also sell branded merchandise to their fans as another way to generate revenue. This could include anything from t-shirts and mugs to hats and phone

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HOW DOES PELOTON MAKE MONEY?

Let's take a look at how Peloton generates revenue:

- **Sales of Exercise Equipment:** The most prominent revenue stream of the company comes from its sale of various types of high- and mid-range indoor exercise equipment like stationary bikes, treadmills, dumbbells, and so on. They also market various supportive technologies like the Peloton Guide, a form of body tracking technology, and the Peloton application;

- **Sales of Fitness Apparel and Accessories:** Along with the sale of exercise equipment the company also markets a wide range of fitness apparel and accessories like fitness wear, gym bags, yoga mat, towels, water bottles, cycling shoes, biomonitoring devices, and so on. Though this is not a major part of their revenue stream, it does show significant room for growth and is a great branding opportunity;

- **Monthly Subscriptions:** Another key part of the Peloton business model is the instructor-based fitness classes that users can take from home. The program offers thousands of classes by expert fitness instructors, all of which can be accessed after paying a monthly subscription fee. The basic plan is $39/month and is a compulsory part of the package once you buy the equipment.

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HOW DOES ZILLOW MAKE MONEY?

Zillow makes money through three primary sources. They are the Homes, Mortgages and IMT.

HOMES

Zillow rakes in the bulk of its income through sales of homes. Through Zillow Offers, the company bought properties and sold them within a short time. It was a win-win for the sellers and Zillow. Considering the stress that usually surrounds selling a house, Zillow's almost instant cash offer was a massive temptation to sellers.

And when Zillow buys a property from a seller, it charges a 6% fee as transaction costs. It also sets a fee of between 3.5% and 4.5% to cover taxes and other miscellaneous expenses.

In 2020, this sector brought a whopping $1.7 billion in income.

MORTGAGES

Zillow, in 2018, became an authorized lender with its purchase of Mortgage Lenders of America. Zillow reengineered the money lending instruments in its now characteristic manner and came up with Zillow Home Loans. The facility allows borrowers to secure a new loan or refinance their loans.

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Zillow charges interests of different degrees, depending on the loan terms. To still broaden its sources of income, Zillow collaborates with more than 50 other lenders via its mortgage platform. When a lender is connected to a prospective borrower through Zillow's platform, a certain amount is paid to Zillow. Besides, Zillow charges lenders to use its Connect Service tool to enhance their chances of being located by lenders.

At the close of 2021, Zillow's mortgage services have generated $246 million in revenue, a massive leap from the $174 million in 2020.

INTERNET MEDIA AND TECHNOLOGY (IMT)

Internet and technology are at the core of Zillow's business model. Thus, they, understandably, are part of the forces the company uses to bring in money. In fact, Zillow started in 2006 with ready-to-use software and marketing services made available to real estate professionals and homeowners.

Zillow's Premier Agents and Premier Brokers programs earn Zillow money through lead generation for real estate professionals. Zillow also sells advertising services to landlords, builders, photographers, etc.

$1.9 was declared as income from IMT in 2021, as against $1.45 billion announced in 2020.

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HOW DOES APPLE MAKE MONEY?

Apple leverages its unique ability to design and develop its own operating systems, hardware, application software, and services to provide its customers with products and solutions with innovative design, superior ease of use, and seamless integration — 10-K 2017.

Apple makes money by designing, manufacturing, and selling smartphones, tablets, personal computers, wearables, and accessories. Their main products include iPhones, MacBooks, iPads, Apple Watch, AirPods, and the Apple TV. They also generate revenue by offering subscription services like their iCloud cloud services, Apple TV+ subscriptions, Apple Arcade, and iTunes. The company recently announced its plans to start hardware subscription services for its products.

Furthermore, Apple makes money when the users of its products pay fees for the extension of their warranties. In addition to their products, they also sell compatible third-party accessories and apps.

As a passive revenue source, Apple also makes money through in-app purchases on iPhones, and app sales on their App Store — they take a 30% cut from every transaction.

Their largest and most profitable revenue source is the sales of their products, however, their subscription services generate the highest gross margins in comparison to product sales.

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HOW DOES DISNEY MAKE MONEY?

The Walt Disney Company is a diversified family entertainment and media enterprise. It has five business segments: Media Networks, Parks and Resorts, Studio Entertainment, Consumer Products, and Interactive. All of these individual segments are money spinners for the company. We shall now take a look at how the company generates income from them individually.

INTERACTIVE

This segment covers Disney's online games and entertainment. This included the production and distribution of multi-platform games, licensing of game content, and the creation of branded online services. Revenues from this segment were generated through the sale of games; subscription to online and mobile games; and online advertising and sponsorships.

CONSUMER PRODUCTS

This is a segment and subsidiary that deals in merchandising of the Disney brand and Disney properties through its many Disney Parks, local and international retailers, e-commerce platform as well as Disney store locations around the world. This segment generates revenue through the sale of consumer products — from toys to t-shirts, books, console games, and more —, and licensing of characters from Disney

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films to third parties.

STUDIO ENTERTAINMENT

The studio entertainment segment is where the Walt Disney Studios belong. The Walt Disney Studios has been the foundation on which The Walt Disney Company was built. The studio delivers quality movies, music, stage plays, and episodic storytelling throughout the world. The Walt Disney Studios comprises: Disney, Walt Disney Animation Studios, Pixar Animation Studios, Marvel Studios, Lucasfilm, 20th Century Studios, and Searchlight Pictures. This segment generates revenues through the distribution of films to theaters, homes, and television markets globally; distribution of recorded music; stage play tickets; and licensing revenues from live events.

PARKS AND RESORTS

Disney Parks and Resorts include the Disney theme parks, resort hotels, water parks, dining, conference centers, and other recreational facilities. In 2020, the United States' Magic Kingdom (Walt Disney World) was visited by nearly seven million people, making it the most visited amusement park worldwide. This segment also runs the Disney Cruise lines and vacation club. Revenue is generated through: admission fees to theme parks, payments for cruise vacations, sales of food and merchandise, and fees for hotel rooms.

MEDIA NETWORKS

This segment accounts for Disney's various cable networks such as ESPN, ABC Family, and Disney Channels. The company also owns television production operations, television distribution, and radio networks. Revenues within

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the media network segment are generated through advertising fees, affiliate fees charged to their various media services, and the sale and distribution of television programming.

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HOW DOES COINBASE MAKE MONEY?

Coinbase makes most of its money from transaction fees for services on its platform. In fact, transaction fees made up 90% of Coinbase's revenue in 2020.

Below, there are some of the methods that Coinbase uses to make money:

CRYPTOCURRENCY TO FIAT CONVERSION

Users who want to convert cryptocurrency to fiat are charged a margin or spread of up to 2% per transaction.

TRANSACTION FEES

Coinbase collects transaction fees from users for deposits, purchases, or crypto sales on the platform.

BUY AND SALE TRANSACTIONS

Coinbase charges a spread or margin on all, transactions such as buying and selling on its platform.

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COINBASE DEBIT CARD TRANSACTION FEES

Coinbase offers a Coinbase debit card with a 2.49% transaction fee for purchases made with this card.

SELLING DIGITAL ASSETS

Coinbase also generates revenue from selling its own crypto assets.

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HOW DOES REDFIN MAKE MONEY?

Redfin makes money from listing fees charged on homes sold through its platform. Additionally, the company purchases properties through its instant buyer program (Redfin Now) and sells them for a profit. They also make money by referring clients to their affiliates or partners.

Below, there is a breakdown of the ways that Redfin makes money:

REAL ESTATE BROKERAGE

The company charges a 1 to 1.5% listing fee for buying and selling on its platform. Redfin makes the majority of its revenue through these commissions.

REDFIN INSTANT BUYER PROGRAM (REDFIN NOW)

The company also makes money from selling homes, which is its second-largest revenue stream. Redfin purchases properties from homeowners and sells them for a profit.

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PARTNER FEES

Redfin works with other partners and agents to sell properties. The company sends client referrals to its partners in exchange for a referral fee.

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HOW DOES SQUARE MAKE MONEY?

Let's take a closer look at some of the key income streams of Square below.

SERVICE FEES

The platform charges a service fee or transaction fee on many of the services offered by its subsidiaries. For example, Square's standard processing fee is 2.6% + 10¢ for contactless payments. Payments that are made via manually keyed-in transactions have a 3.5% + 15¢ fee.

SUBSCRIPTION FEES

Several Square subsidiaries and packages offer monthly subscription fees as well.

HARDWARE SALES REVENUE

The company also sells a line of hardware products like the Square Stand, Square Card readers for NFC and EMV chip cards, barcode scanners, receipts printers, cash drawers, and so on. Square uses a blade and razor approach, which means that the hardware is usually sold at a loss or below market price, while profits are made through the revenue generated via the service fees of using Square services like Cash App, Square Debit Card, and so on.

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BY ISSUING MCAS TO OTHER BUSINESSES

Merchant Cash Advances (MCAs) are a form of non-traditional loans which offer guarantees on the “sale of future income”. This means that, in exchange for giving small businesses loans upfront, Square recoups a portion of this debt directly from digital payments made to the business.

SOFTWARE AND DATA PRODUCT REVENUE

Square also gains revenue through the sale of its various software and data tracking products, such as inventory software, data analytics programs, payroll software, and POS software.

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HOW DOES STEAM MAKE MONEY?

Steam currently has one billion registered accounts, with about 120 million monthly active players. With such a humongous number of users and monthly active players, there is no doubt that Steam would be reaping a fortune from their users. Let us take a look at some of the ways they make money from their business model.

COMMISSION

Steam makes its most revenue from commission charged on every game sold on its platform. Steam charges a commission of 30% only from the first $10 million in sales. For all sales between $10 million and $50 million, the commission is 25%. For every sale after the initial $50 million, Steam charges a 20% cut.

HARDWARE SALES

Valve released its own gaming hardware to strengthen the position of Steam. It rivals other big players in the industry. The handheld device comes in three different versions that cost $399 (64 GB), $529 (256 GB), and $649 (512 GB), respectively.

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DEVELOPER FEES

In order to help developers build and distribute their games on the Steam platform, Steam offers them a bundle of tools and services. These tools and services include: Feature broadcasts, early access to players, enabling developers to sell bundles and downloadable contents, announcements of events, updates, etc. A so-called “greenlight fee” is charged before users can access them.

LICENSING FEES

A licensing fee is charged for the establishment of a Steam PC Café. A Steam PC Café offers visitors the same Steam experience available to them at home. Visitors to the Café can access their entire game libraries, chat with friends, and do lots more. Steam charges a one-time installation fee of $29.99 and a monthly subscription fee of $9.99 per license.

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HOW DOES HOME DEPOT MAKE MONEY?

Home Depot makes most of its money through sales of home improvement goods and related services. Let's take a closer look.

PRODUCT SALES

Home Depot sells a wide range of building materials, decorative products, home improvement goods, garden and lawn products, etc. Home Depot generates massive revenue from the sales of these products. Home Depot sells its products to Do-It-Yourself customers, Do-It-For-Me customers, and professionals.

PROFESSIONAL SERVICE PROVIDERS

Home Depot offers professional services to its customers through its vast network of professional contractors, tradesmen, remodelers, and small business owners that assist its customers. They help customers to handle small and complicated home improvement projects. Home Depots receive a commission from these service providers for the job they do.

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CREDIT FACILITY

Home Depot offers a buy now, pay later scheme through third-party providers for consumers and businesses. Home Depot earns revenue from charges for these credit services.

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HOW DOES OPENDOOR MAKE MONEY?

Opendoor is a good example of the term “spending money to make money”. Opendoor buys and sells properties for a profit, charges a seller fee, and offers related services to make home selling and purchasing easier — home loan program, title, insurance, and escrow. All of these generate revenue sources for Opendoor.

Although they bring in some profit from the resale of properties, their main source of revenue comes from their additional services, such as interest from home loans and title insurance. Their goal has been to modify and reinvent the traditional real estate model with the aid of their tech features and a large reserve of investor funds.

SERVICE FEES

Opendoor charges a 5% commission fee for every home they buy. This service fee is based on expenses, risks, and carrying costs, with a little bit of profit. This service charge is low compared to other companies, and clearly draws in a lot of customers.

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ADD-ON SERVICES (MORTGAGE, TITLE, ETC.)

Opendoor's most recent revenue plan is to bring the title, mortgage, and escrow services in-house. Their title services have produced excellent outcomes. Title insurance is simple to incorporate into a transaction because it is simply brought in by the seller — Opendoor. They also generate money by charging interest on the loans. Through its "Opendoor Home Loans" business segment, home buyers can borrow money from Opendoor. This new strategy has caused steady growth for them and has significantly increased their bottom line.

HOME SALES

As an iBuyer, this is their most traditional source of income. The company makes money from reselling bought houses for a profit. And with the assistance of their algorithm, they are able to make accurate deductions for sales and purchase prices.

Opendoor does not lurch any house; each house must meet its criteria before being considered for evaluation. To qualify, single-family homes must be built after 1960 with an average value of $125,000 – $500,000. Once a property meets this standard, Opendoor takes up the responsibility of making it fit for sale.

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HOW DOES IKEA MAKE MONEY?

All IKEA stores (except one) operate under franchise agreements, and the company makes the majority of its money from annual franchise fees and the wholesale of products to franchisees.

IKEA combines this franchise system with a direct producer-to-consumer system to generate income.

FRANCHISE FEES

In exchange for access to the IKEA trademarks, authorization to market and sell the IKEA product range as well as managing IKEA stores and sales channels, IKEA franchisees pay Inter IKEA Group an annual fee of 3% of their net sales.

SALE OF GOODS

IKEA franchisees must purchase their store's inventory from the company's product supplier. The wholesale of IKEA products to franchisees generated $25.46 billion in revenue in 2021.

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SALE OF CATALOGS AND OTHER MATERIALS

The sale of the IKEA catalog and other materials created for IKEA franchisees is marked under what the company refers to as “other income”. This makes up the least percentage of the company’s income.

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HOW DOES CROCS MAKE MONEY?

Crocs make money by selling its products. They have two main ways of doing so, which have landed them great success on the international scene.

Retailers are companies that buy products wholesale and resell them to end users. Distributors are companies that buy products from manufacturers and resell them to retailers.

Distributors typically pay higher prices for products than retailers do. This means that distributors can charge more for their products.

RETAIL SALES

When Crocs sells direct to retailers, they pay a commission fee to those retailers. This commission can range anywhere from 5% to 15%.

WHOLESALE DISTRIBUTION

Crocs also work with wholesalers to distribute their product. When they do this, they receive a percentage of the sale price.

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HOW DOES SEPHORA MAKE MONEY?

The Sephora business model focuses mostly on retail sales and direct-to-customer sales of brand products.

The combination of Sephora's retailing and its sale of company products either online or in physical stores is how the company makes money.

RETAIL SALES

Sephora earns the majority of its profit from retailing. In 2020 alone, the company accrued up to 5.01 billion U.S. dollars in retail sales in the United States. Sephora's strategy is that it buys products wholesale directly from brands for about 50-65% less than the retail price, then sell the product at the same price said brand sells it, keeping costs the same while earning. Sephora constantly partners with smaller brands, celebrities, and influences to offer its customers new products and attract new customers. Becoming the sole retailer of such businesses is an investment that keeps Sephora's revenue coming.

SALE OF BRAND PRODUCTS

Aside from selling products from other companies and brands, Sephora carries its own home brand; Sephora Collection. The Sephora collection is famous for offering a variety of beauty products at affordable prices for loyal

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customers. Its most popular products include the 12-Hour Contour Pencil Eyeliner, Cream Lip Stain Liquid Lipstick, and Face Mask. These products range from prices $ 6-20 and come as a constant source of revenue for the brand.

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HOW DOES WARBY PARKER MAKE MONEY?

Warby Parker deals in several eyewear products, from regular glasses to sunglasses. It also sells lenses and other eyewear accessories directly to customers at cheaper rates. The detail of the company's various sources of revenue is as spelled out below.

REGULAR GLASSES

The company sells both male and female regular eyeglasses at an average price of $95. There are about 89 and 101 different styles of glasses for men and women, respectively.

PRESCRIPTION SUNGLASSES

Prescription sunglasses that go for about $150 are also sold by Warby Parker. The polarized version of the prescription lenses, which has 39 and 50 styles for men and women respectively, is sold at the average price of $275.

COLONEL MONOCLE

Warby Parker also sells Colonel Monocle, which also includes prescription lenses. The monocle which is unisex goes for $50.

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ACCESSORIES AND VALUE ADDED SERVICES

Warby Parker sells all manner of eyewear accessories and also offers value-added services. It sells frames and replacement lenses, and also delivers orders to the homes of customers. The company does not charge for the shipping of goods unless customers prefer to accelerate their orders. And in such cases, customers are requested to pay $30.

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HOW DOES THE OLYMPICS MAKE MONEY?

The IOC is a non-profit organization that runs the Olympic Games. The revenue generated from the games is used to support athletes worldwide, and they are as follows:

BROADCAST RIGHTS

The IOC has all the global broadcast rights to the Olympic Games, including television, radio, mobile phones, and internet platforms. The organization sells these rights to broadcasters around the world to ensure the widest coverage of the Games.

PROGRAM MARKETING RIGHTS

The Olympic Partner (TOP) program is a global sponsorship program created in 1985 to generate revenue for the Olympic Games organizers and the Olympic Movement. 30% of the IOC revenue comes from this program.

OTHER INCOME STREAMS

The sale of tickets and licensed products, as well as donations, fees from vendors, and money from private sources, make up the remaining portion of the Olympics revenue.

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HOW DOES DOLLAR GENERAL MAKE MONEY?

Dollar General offers a selection of merchandise to consumers at discounted prices that are 20% to 40% lower than those found in grocery stores and drug stores. With this incentive, they have flourished, but the fact that they sell their items at such low prices begs the question of how they actually make money. They accomplish this by acquiring, storing, and distributing merchandise to their stores across the United States, as well as paying salaries and benefits to their employees in a manner that is inexpensive and cost-effective.

STORES ARE LOCATED IN RURAL AREAS

The company's target consumer comes from a household earning $40,000 or less per year and often lives in areas known as "food deserts", which means they aim for homes located miles away from grocery stores. The plan was to go to places where Walmart didn't go. As a result, the majority of its stores are in rural and suburban areas, where it is less expensive to operate.

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STRAIGHTFORWARD SHOPPING EXPERIENCE

Dollar General does not own its stores. This keeps real estate costs low. And because the company does not own its real estate, it is easy to relocate stores if things aren't doing well. A new store costs around $250,000 to open, which is significantly less than what a big-box retailer pays to build new stores. It is one-tenth the size of a typical Walmart store and has a simple design with metal shelves, strip lighting, and low-cost signs. The average shopping trip to Dollar General lasts no more than 10 minutes, and because the store's designs are simple, the shopping experience is generally straightforward.

LIMITED PRODUCTS

Dollar General does not stock every brand and size; instead, they concentrate on the most popular ones. Each of their stores has between 10,000 and 12,000 different products, which is low when compared to a typical supercenter like Walmart, which has around 60,000. Because Dollar General buys in bulk, carrying a limited number of items gives it more negotiating power with suppliers.

LOW LABOR COSTS

Smaller, more basic establishments require fewer employees since they offer fewer items. Unlike Walmart, which has a diverse workforce ranging from greeters to shopping assistants, Dollar General keeps its staffing rather simple. The emphasis here is on getting a good price, which frequently means that customers are willing to give up services. Dollar

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General is also investing in its workers in order to decrease employee turnover, which is costly to the company. They boast the lowest store manager turnover rate in the industry.

PRIVATE-LABEL GOODS

Dollar General produces some of the goods they sell, with over 40 distinct private-label product brands. Because the corporation has better control over production costs and can establish its own prices, these items have bigger margins than national brands.

LIMITED FRESH PRODUCE

Most Dollar General stores do not sell fresh food or perishable items, which have a shorter shelf life and lower profit margins. This contributes to the company's healthy profit margins. Despite this, Dollar General is trying to expand this segment of the company and become a mid-week shopping destination by making customers visit the store more often to purchase perishables. They currently have fresh vegetables in 300 of their locations.

PACKAGES ITEMS IN SMALL QUANTITIES

Dollar General sells goods in small quantities instead of in bulk to keep the cost of each transaction low. While the costs remain below $10, it may look like you're getting a better deal, but you are probably spending more per ounce or per item. However, the lower purchase price serves its primary consumer well, as they may not have the disposable cash to buy in bulk.

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LOW COSTS IN THE SUPPLY CHAIN

Dollar General is always trying to minimize expenses in its supply chain. They aim to grow their own private fleet in order to regulate delivery times and guarantee that routes are more optimal so that vehicles do not waste time on transportation networks. The company believes that, by expanding its private fleet, it would decrease its susceptibility to third-party carrier pricing fluctuations.

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HOW DOES HONEY MAKE MONEY?

AFFILIATE COMMISSION

Honey majorly makes its money through commissions from its merchant partners, such as eBay. When any of the users of the Honey browser extension app uses a coupon or promotional code to find an available discount and purchase a product, Honey gets a commission fee from the merchant. The commission is a percentage of the total sales price, usually 0.5% to 10%, and sometimes as high as 20%.

Honey tracks every sale and works with affiliates to confirm the purchases their users make. They work with over 20 affiliate networks. Honey has partnered with over 30,000 stores in industries ranging from fashion, food, and travel, to electronics and gadgets.

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HOW DOES CHICK-FIL-A'S MAKE MONEY?

Chick-fil-A makes money majorly from two sources: 15% of the total sales from the franchisees and also 50% from all their franchisees. The returns are one of the highest in the food chain industry, and there is a reason why it is so.

UNCONVENTIONAL FRANCHISING

Chick-fil-A operates its franchise in an unusual way compared to other companies in the food national chain. Other food chain industries operate by ensuring that the franchisees are valued at a certain net worth before paying a huge amount of money to use their brand name in exchange for a percentage cut in sales.

The franchisee is responsible for acquiring and developing properties with their own money, in simple terms the brand contributes 20% to 30% of the business while the franchisee takes the entire 70% to 80% of the business expenses and costs which are often six digits above, resulting to why franchisee earns a majority of the profits and royalties paid to the fast-food franchises are within 4% to 8%, excluding the 2% to 6% of the advertising fee.

Chick-fil-A is quite the opposite as it has no minimum net worth requirements from the franchisee often referred to as operators, its franchise fee is as low as $10k, and Chick-fil-A is responsible for the acquiring and development of properties,

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often runs from $343k to $2m. In simple terms, the Franchisee contributes less than 10% while the business contributes above 90%. Chick-fil-A retains ownership of the business while the operators manage the affairs of the business, the business has the highest return of 15% of sales, plus 50% of any profit made.

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HOW DOES COSTCO MAKE MONEY?

Over the years, Costco has managed to efficiently diversify its income stream through exploring multiple investment channels. So, while the main means of profit for the company is selling products at high discount rates to its members, there are many other sources of revenue for Costco. Here are all of them in detail.

MERCHANDISE SALES VOLUME

More than 90% of the company's income stems from the sale of in-store Stock Keeping Units (SKUs). By keeping and selling only 3,700 units in its warehouse at any given point, Costco has been able to generate more than $150 billion in annual income.

Some of the categories that the brand offers goods range from Food and Sundries to Ancillaries, Fresh Foods, Softlines, and Hardlines.

MEMBERSHIP FEES

Costco differs from many conventional warehouses in that you have to be a member before you can leverage the bargain prices that they offer. This membership attracts a fee. Also, membership fees can vary as the company operates a tier system.

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Unlike many other brands, Costco has been able to find a way around its membership requirement being a barrier to entry. Because of this, it's been able to accrue more than 114 million members. The membership fees generated as a result account for more than 2% of the company's annual income.

E-COMMERCE OFFERS AND SALES

The Costco e-commerce platform was launched in April 2001. Since that time, it has become one of the most patronized online retailers in the U.S. It also has the special benefit of helping Costco members save money without having to enter the company's brick-and-mortar warehouses.

AUTO SALES PROGRAM

By partnering with more than 3, 000 dealerships, Costco members can also purchase new or used vehicles through this program. This helps them get the automobiles at discounted prices with several value-added perks as well.

HOME AND INSTALLATION PROGRAMS

The company also gets a steady stream of revenue by offering its members numerous home and installation services like countertop installation, HVAC installation, and carpet and flooring installation.

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HOW DOES KLARNA MAKE MONEY?

The method of operation and execution that the Klarna business model employs enables the fintech company to get funds through four main income streams. These are via merchant commissions, in-store Klarna Card transactions, interest charges, and late payment fees.

MERCHANT COMMISSIONS

As was highlighted earlier, Klarna works through the process of connecting a prospective consumer to a retailer. The fintech company charges retailers for making this type of service available to them. Because of this, every merchant that a consumer uses on this platform is expected to pay both a flat transaction fee, as well as a percentage of the total sale cost.

However, what merchants are expected to pay as commission varies, depending on the preferred payment option of a consumer.

For example, if a consumer opts for the 30-day payment option, a merchant has to pay Klarna $0.30 flat charges as well as up to 5.99% percentage of the total transaction. The same guidelines apply when a consumer chooses the four-installment payment option.

However, should a consumer pay through financing, the

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$0.30 flat charges still apply but the percentage of the transaction that Klarna can claim changes to only 3.29%.

It's important to note that the above-mentioned commissions apply whether the transaction is performed online or in-store.

IN-STORE KLARNA CARD TRANSACTIONS

The fintech company also generates revenue through a virtual card that it makes available to shoppers. This virtual card can be used to make in-store purchases in certain brick-and-mortar retail stores affiliated with Klarna.

Most users leverage this resource by setting a budget on the virtual card for the specific retailer(s) they use it for, and then linking that card to their Apple or Google wallets to facilitate easier payment.

The main source of income for Klarna here is from late payments from defaulting consumers. However, because of the way the card works, it also allows the fintech establishment to considerably increase what they stand to get through merchant commissions.

Some of the high-profile retailers that consumers can use the Klarna Card in include Sephora, IKEA, Nike, GameStop, and Foot Locker.

INTEREST RATES

Consumers who use financing from Klarna are arguably the major source of revenue for the company. This is because, when financing from Klarna is used to make more expensive

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purchases, it allows the fintech company to charge considerably higher interest rates.

As an example, for certain transactions, a consumer may be expected to pay as high as a 19.99% APR for up to 36 months. What a consumer is expected to pay interest is significantly influenced by their credit score.

It bears mentioning that users who only leverage the four-installment payment or the 30 days option aren't expected to pay Klarna any interest at all.

LATE PAYMENT CHARGES

Although the 30 days option and the four-installment payment option are both interest-free initially, consumers who aren't able to meet up with their payments when due are liable to pay late payment fees. The late fees are charged on two levels.

Klarna not only charges a consumer for each time they're late with a payment, but they also place a levy on the user for every month that they fall behind with their payments. As such, for every payment a consumer misses, they have to pay a sum of $7. For every month that they're behind on their payment, the levy is $35.50.

As a side note, even when consumers don't pay Klarna for the item(s) purchased, it still falls on the fintech company to take responsibility and pay the merchants for the products sold.

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HOW DOES ONLY FANS MAKE MONEY?

Let’s take a look at how OnlyFans makes its money.

COMMISSION FEE

Despite its general perception as a social media service that offers users access to exclusive content for a fee, OnlyFans does not bill its subscribers directly, but rather the content creators. The platform charges content creators a 20% commission fee on every transaction which occurs on the platform, in exchange for providing them with a paywall service for their content.

There are three primary ways that content creators can make money on the platform:

- Through a monthly subscription which ranges between $4.99 to $49.99;
- Pay-per-view (PPV) content;
- Tips that are paid out by registered users to content creators.

As we mentioned earlier, the platform receives 20% of these earnings and pays out 80% to its content creators.

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OFFICIAL E-COMMERCE STORE

The platform also offers a range of official merchandise through its e-commerce platform. This includes clothing, accessories, and so on.

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HOW DOES SPOTIFY MAKE MONEY?

Spotify operates a freemium business model. This means that some of its services can be accessed for free, while some of its services are considered premium and can only be accessed when paid for. Spotify generates its revenue from its users who are either using the free service or subscribed to the premium service.

ADVERTISEMENTS

Spotify offers its audio-streaming services for free to its users. Such users have limited access to a catalog of millions of songs, however, some features are restricted for these users. Also, free users are shown advertisements that serve as a source of revenue and compensation for the free services offered by Spotify. Advertisers on Spotify are brands, agencies, and institutions that pay Spotify to showcase their products and service to the vast audience that uses the music-streaming app. This way, Spotify generates revenue by showing paid ads to its free users in exchange for the services offered.

PREMIUM SUBSCRIPTION

This is the biggest source of revenue for Spotify. While some of Spotify's services can be accessed freely, users still need to pay a monthly subscription fee to unlock all the features of the music-streaming service. Spotify's users who pay for full

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access to Spotify's services are known as premium subscribers. There are different plans available for the Spotify premium subscription, with varying prices for different categories. These include individual, duo, family, and student plans. Any premium subscriber who pays for any of these plans is granted unlimited access to Spotify's catalog of music and podcasts, both online and offline (after download).

Also, ads are eradicated for premium subscribers, and they have the best experience listening to music without interruption from advertisements. As of the second quarter of 2022, Spotify had 188 million premium subscribers worldwide, and Spotify will continue to generate revenue from premium subscriptions as long as its subscribers renew their subscription plans every month.

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HOW DOES ALDI MAKE MONEY?

This brand employs several measures to generate revenue. The most significant ones are:

PRIVATE BRAND MARGINS

The concept of using private brand margins to drive profit isn't new. However, ALDI is the largest retailer in the world that is most dependent on this tactic. While private brand margins account for only 1% of Amazon's earnings, it's responsible for 90% of ALDI's total revenue.

Customers walk into a brick-and-mortar store or visit the brand's online platform, see a product that's similar to that of more popular brands, and make a purchase. These items are usually made with a durable enough quality that consumers are left satisfied with what they get.

CUSTOMER-CATERED EMPLOYEE COSTS

ALDI also makes a minimal portion of its revenue by making its consumers finance certain aspects of its operating costs. As an example, where many grocery stores would typically hire extra staff to retrieve shopping carts, ALDI rents this item out to their consumers, giving users the necessary incentive

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to return it when they’re done.

Thanks to that, they can make money off the cart and save on the expenses of hiring extra hands. In addition to renting shopping carts, ALDI stores also place a fee on plastic bags.

This and many other measures create a steady minimal stream of income for the brand.

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HOW DOES CARVANA MAKE MONEY?

Carvana operates a retail business model. This type of business model involves the sale of a finished product directly to the final consumers. In Carvana's case, the finished products are the cars that are sold to people in need of them. To make a profit, Carvana sources cars from various channels and sells them to customers at a rate higher than the original purchase.

USED CAR RETAIL SALES

The revenue generated from retail car sales constitutes Carvana's primary source of revenue. In 2021, Carvana made $9.9 billion from retail car sales, accounting for 77.3% of the company's total revenue. Carvana adds the cost of marketing, inspection, maintenance, and transportation of their vehicles to the purchase cost.

The cost difference between these expenses and the vehicle's selling price is how Carvana makes a profit. To purchase cars from Carvana as a retail buyer, customers use the Carvana app or website to search for their preferred cars.

With Carvana's 360° photo technology, customers can inspect their preferred car and even take it on a virtual spin. If the car is not available for purchase, customers can set alerts to notify them if the vehicle becomes available. If the vehicle is available, customers can view the total price, which covers

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taxes, title, and registration.

WHOLESALE CAR SALES

Although Carvana operates as a used car retailer, it also sells wholesale to traditional auto dealers, which is its second-largest source of revenue. Carvana carries out a thorough inspection of all vehicles before they are put up for sale. Excess stock and vehicles that do not pass Carvana's strict inspection are sold to other dealerships.

In 2021, Carvana made $1.9 billion from wholesale car sales alone. Wholesale dealers willing to buy vehicles that did not pass Carvana's inspection test can do so through CarvanaACCESS, Carvana's direct purchase platform for wholesale buyers. Carvana gets a higher profit margin on wholesale deals because it does not have to spend much on inspection and maintenance for these lower-quality vehicles.

FINANCING

Another reason for Carvana's increasing popularity is its willingness to sell cars to people who need them but cannot afford them at the moment. Carvana offers three different payment options to its customers. The first option is to pay with cash. However, people who cannot afford to pay with cash can either get one of Carvana's auto loans or take a third-party loan.

Carvana can help its customers get qualified for an auto loan through an online process that does not require tedious paperwork. Customers can get suitable loans for as long as 45 days without any impact on their credit scores. This auto loan option is another way Carvana provides value for its customers, who do not have to go through the long process of securing loans from third-party companies. The interest

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rates on these loans serve as another revenue stream for Carvana.

VEHICLE SERVICE PROTECTION

Carvana offers a variety of coverage for its customers' vehicles. Every vehicle sold by Carvana comes with a 100-Day or 4,189-mile limited warranty. Carvana's limited warranty only covers repairs on most mechanical and electrical failed vehicle components such as engine, transmission, suspension, A/C & heating, steering, etc. The warranty also covers roadside assistance; however, these benefits only last for 100 days or 4,189 miles after purchase. Under the Carvana limited warranty, any covered repair carried out at a preferred repair facility comes at no extra cost to the customer. However, a covered repair at a non-preferred facility can cost as much as $200.

For customers who want more than the benefits of a limited warranty, Carvana offers various vehicle service protection contracts (VSC). Carvana's VSC covers the rest of the damages, which are not covered by the limited warranty. There are different Carvana vehicle service protection packages that customers can choose from. It allows them to choose how much coverage they want for their vehicle systems.

Carvana's VSC is not limited and does not expire after a set number of days or mileage. Customers continue to enjoy vehicle service protection as long as they pay for it. Sometimes, customers can transfer the vehicle service protection contract from one user to another. This feature adds to a vehicle's resale value if a Carvana customer decides to sell their car.

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INSURANCE

Insurance is a requirement to drive in every state in the United States of America. Therefore, Carvana helps to simplify the process of getting insurance for its customers. Through Root Insurance Co., Carvana makes insurance available to its eligible customers who purchase vehicles. Root Insurance Co. is a digital insurer, in which Carvana previously invested $126 million to provide insurance for its customers. Insurance is another way through which Carvana makes money.

Carvana also offers GAP coverage to its financing customers. Guaranteed auto protection, also known as GAP insurance, is a type of insurance that is only needed for a short period while the value of a loan taken to buy a car is greater than the value of the car. GAP insurance works such that if a Carvana customer's car gets totaled in an accident or stolen, the Guaranteed Auto Protection covers the gap between the depreciated value of the car and the amount owed on the loan. GAP coverage is optional but advisable since standard car insurance does not give this extra layer of protection.

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HOW DOES XERO MAKE MONEY?

Let's take a look at how Xero generates revenue.

SUBSCRIPTION FEES

The Xero business model and revenue stream are quite simple. Users are charged a subscription fee in exchange for access to their cloud-computing software and services. These subscriptions involve a three-tier pricing plan, depending on the size of your business and the extent of the services you require. The basic package is priced at $22, while the Growing and Established packages cost $34 and $65 respectively.

The brand also offers a range of other services besides its primary accounting software. This includes:

- **Planday:** A scheduling software;
- **WorkflowMax:** A project management service;
- **Hubdoc:** A data capture service that allows users to import their important financial documents into one place;
- **TaxCycle:** A tax preparation software for professionals;
- **Waddle:** A financial service which provides flexible financing services to help SMEs manage cash flow;

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- **Tickstar:** An e-invoicing system which allows you to exchange business documents globally.

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HOW DOES ZARA MAKE MONEY?

Let’s take a look at how Zara makes money.

REVENUE FROM RETAIL SALES

Zara is said to sell over 450 million products a year, and a significant portion of these sales come from its retail stores. The company has thousands of retail outlets in nearly 100 countries. These physical locations provide male, female, and children’s clothing and accessories, as well as a range of other products such as beauty products, shoes, and perfumes.

REVENUE FROM ONLINE SALES

Online sales also make a significant contribution to the total sales volume of Zara. E-commerce sales for the year 2022 were said to have contributed $8.6 billion to the total sales revenues. This represents a continuation of a steady uptrend in its online sales revenue with $6.1 billion generated in 2021, $4.8 billion in 2020, and $2.9 billion in 2019. The company has plans to further increase its online presence and still projects significant room for growth.

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HOW DOES TURO MAKE MONEY?

Let’s take a look at how Turo makes money.

COMMISSION FROM RENTAL FEES

Turo is a significant part of the sharing and tourism community and allows vehicle owners (referred to as hosts by the platform) to rent out their automobiles to interested renters for a fixed period using their platform. In return for this service (as well as covering the cost of insurance, background checks, and GPS tracking) the company takes a percentage of the estimated cost of the trip. This may range anywhere from 15 to 45 percent, but is usually 25 percent.

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HOW DOES ZELLE MAKE MONEY?

Now that we know a bit about it, let's take a look at how Zelle makes money.

ZERO REVENUE FROM TRANSACTIONS

Unlike what you would expect from a company which boasted of processing almost half a $1 trillion in 2021, the Zelle service does not make that much money. In fact, the platform officially does not make any money at all since it is completely free and does not charge the users or the banks which operate with it. This is one of the reasons that Zelle is so popular, as this allows them to keep their transaction costs much lower than other third-party digital payment systems, since the fees charged to the users are only what the banks levy.

So why does the platform still exist? Although no official explanation has been offered, many business analysts believe that Zelle exists as a way for banks to avoid the fees charged to them by third-party services such as Cash App (owned by Block Inc, formerly Square) and Venmo. Therefore, Zelle is a strategy used by banks to reduce their costs by avoiding the necessity of third-party digital payment services.

However, it is suspected that the participating banks pay the

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platform a base fee for maintenance. Though this has never been explicitly confirmed by the company itself.

COMMISSION FROM PURCHASE MADE USING ZELLE BUSINESS ACCOUNTS

In 2018, Zelle introduced a new function called the Zelle business account. This type of account allows businesses to receive payments directly from their customers and charges the business a 1% processing fee for the service.

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HOW DOES TWITTER MAKE MONEY?

Currently, Twitter operates an advertising-based business model. Companies that run this type of business model rely on advertisers who are willing to market their goods and services on the company's platform for revenue. Twitter is free to use for individuals and businesses, therefore, how does it make money? Twitter has two major sources of revenue, however, the bulk of its revenue comes from its advertisers. The following are ways through which Twitter makes money:

SALE OF ADVERTISING SERVICES

Twitter has over 200 million active monthly users around the world. This large user base attracts brands and businesses who want to showcase their goods and services to people around the world. Therefore, these brands pay Twitter to advertise their products and services on its platform. Twitter's algorithm ensures that these ads make it to the timelines of its users who make up the target audience of the advertisers, thereby giving the brands and businesses value for their money. There are different types of ads that can be run on Twitter. These include:

- **Promoted Ads:** Promoted ads are ads that appear like normal tweets on a user's timeline, however, they are labeled as "promoted". Promoted ads appear on a Twitter user's timeline depending on the user's likes,

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dislikes, and preferences. This ensures that the ads are shown to people who might have a genuine interest in the products or services advertised. For this type of ad, advertisers can choose the pay-for-performance or pay-for-impression option;

- **Promoted Accounts:** This type of ad can be used by brands or entities to build a community of Twitter users who might show interest in their products or services. This ad works by suggesting the advertisers to suitable Twitter users as “Who to follow”. With this type of ad, users are targeted by demographics, preferences, location, etc. If the user likes the product or service being advertised, they might follow the business or brand’s page on Twitter, thereby increasing the advertiser’s follower base;

- **Promoted Trend Takeovers:** On Twitter, trends are a list of the most prevalent topic happening at the moment in a particular location. This list is determined by words and phrases that are mentioned by people in a particular demographic, at a higher rate than others. Some trends have hashtags (#) and this helps people recognize them as relating to the prevalent topic. Twitter trends can be seen in the home timelines, notifications, search results, and profile pages of users in the location where the trend is going on. Therefore, it is an effective way for advertisers to market their goods and services to millions of people at the same time.

The revenue generated from the sale of advertising services is the major way through which Twitter makes money. In 2020, Twitter’s advertising services accounted for 86% of the total revenue generated by the company. By 2021, revenue generated by advertising services rose to 89%. Although Twitter’s advertising services are often carried out on its platform, some of it might also be done on third-party

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DATA LICENSING SERVICES

Data licensing involves a legal agreement between the creator/owner of the data and the end-user or a third party to gain access to or use some kind of data. More than 400 million tweets are made on the Twitter platform daily. This provides a large pool of raw public data, which Twitter refers to as Firehose, that can be used by brands and businesses to improve their services.

Twitter sells data licenses that allow its partners to access, search, and analyze real-time and historical data on its platform. With sophisticated data analysis tools, Twitter's data partners can use the data gotten from Twitter to generate insights about consumer trends and learn how to meet the needs of their customers. Sometimes, Twitter might share the personal data of its users with advertisers, however, users have to provide consent.

Data licensing is the second major way through which Twitter makes its money. Twitter's data licensing services accounted for about 14% of Twitter's revenue model in 2020.

SUBSCRIPTION SERVICE

Also known as Twitter Blue, this is a monthly subscription service that offers exclusive access to premium features. This service was launched in June 2021, and it is Twitter's first subscription-based service. Twitter Blue is still a pretty new feature, therefore, it is only available in four countries — the U.S., Canada, Australia, and New Zealand. Features of the Twitter Blue subscription include custom app icons, themes, custom navigation, thread reader, top articles, and the ability to undo tweets and bookmark folders. Twitter Blue

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subscribers also gain early access to all of Twitter's new features, and they have to pay $4.99 per month.

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HOW DOES DISCORD MAKE MONEY?

Now that we have taken a look into the Discord platform's history and how it functions, it's time to explore its finances and how this business turns a profit.

PREMIUM MODEL SUBSCRIPTION FEES

While the core features of the Discord platform are offered to users for free, there is also a premium model which allows members to take advantage of additional functionality and greater server efficiency for a subscription fee. The subscriptions are based on each price-tier system, with Discord Nitro Classic costing $4.99 per month, while Discord Nitro costs $9.99 per month.

Some of the advantages of the premium model include faster upload times, a larger upload limit, HD video chat options, as well as a greater degree of avatar and emoji customization. These benefits are encompassed in packages known on the platform as "server boosts".

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DISCORD STORE

The discord platform initially released a game distribution service that sold exclusive games to members. However, following the failure of the service to meet expectations, they decided to pivot and instead partnered with game developers to allow them to market their games on the discord platform in exchange for a 10% commission known as the distribution fee.

DISCORD MERCHANDISE STORE

The company also operates an e-commerce platform where they sell a wide range of merchandise including clothing, gaming goods, collectibles, keyboards, and other accessories.

IN-APP PURCHASES

The core functions of the platform are all free, but users can choose to purchase additional features such as emojis and stickers.

TICKET SALES FOR VIRTUAL EVENTS

The platform is currently testing a new feature that allows them to sell virtual tickets to live events that are hosted by server moderators in various concentrators on the platform.

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FUNDS AND INVESTMENTS

A significant amount of the income from the company came from various rounds of funding which raised a total of $995.4 million and was last held in March 2022.

IS DISCORD PROFITABLE?

The company currently boasts 300 million registered members, with over 150 million active users. The company was valued at $15 billion in 2021 and posted an annual revenue of $130 million in 2020 (representing a 188% year-on-year increase). It recently reached a new record of 10.6 million concurrent users and made an estimated revenue of $300 million in 2021, showing a continuation of its strong growth trend.

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CONCLUSION

At the end of the 18th century, Antoine de Lavoisier, mathematician and chemist, asserted that in all the reactions of these experiments: “nothing is lost, nothing is created, everything is transformed”.

He could not prove it back then but I'm sure that if he was a business researcher in the 21st century he would be able to do so.

Any great startup nowadays just adopted or mixed different business ideas, including how other businesses make money, into their own market to innovate and strive.

But remember, don't over complicate it. Mix, combine, but keep it simple. Never forget that.

Good luck and have fun!

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REFERENCES

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